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October 2, 1996

To: Members of the Executive Board

From: The Secretary

Subject: Chad - Request for the Second Annual Arrangement Under the Enhanced Structural Adjustment Facility

Attached for consideration by the Executive Directors is a request from Chad for the second annual arrangement under the enhanced structural adjustment facility. A draft decision appears on page 17. This subject, together with the policy framework paper for Chad (EBD/96/129, 10/2/96), is tentatively scheduled for discussion on Wednesday, October 16, 1996.

Mr. Plant (ext. 38736), Mr. Abdoun (ext. 38394), or Mr. Cossé (ext. 38731) is available to answer technical or factual questions relating to this paper prior to the Board discussion.

Unless the Documents Preparation Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the African Development Bank (AfDB) and the European Commission (EC), following its consideration by the Executive Board.

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CHAD

Request for Second Annual Arrangement Under the Enhanced Structural Adjustment Facility

Prepared by the African Department

(In consultation with the Legal, Monetary and Exchange Affairs, Policy Development and Review, Statistics, and Treasurer's Departments)

Approved by Evangelos A. Calamitsis and Chanpen Puckahtikom

September 30, 1996

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Executive Summary

Background

A three-year arrangement under the ESAF, in an amount equivalent to SDR 49.56 million (120 percent of quota), was approved on September 1, 1995. The first annual arrangement expired at end-June 1996. In the first half of 1996, Chad held its first pluralistic elections since independence.

Program performance during the first half of 1996

- Economic activity rebounded during the period, with a marked recovery in the industrial sector, while a good crop year is expected because of favorable weather conditions. However, the first half of 1996 saw an uptick in inflation, with the price level increasing by 13 percent.

- Most program benchmarks were observed. However, the benchmarks on the clearance of domestic and external payments arrears could not be observed because of delays in the disbursement of external assistance. The structural benchmark calling for a study on the privatization of the sugar company (SONASUT) was also not observed.

- Fiscal performance was satisfactory. Government revenue fell just short of the revised program target, because of weaknesses in petroleum tax collection. Expenditures were brought under control globally, but spending on priority social sectors was less than envisaged, while spending on the elections and military salaries exceeded targets.

- The balance of payments outlook for 1996 appears to be less favorable than envisaged, with prospects for cotton exports weakened by smaller export volumes and a decline in world prices.

- On the structural side, the privatization program moved ahead well.

The 1996/1997 program

- The second-year program envisages economic growth of 6 percent in 1996 and 5 percent in 1997. Inflation is expected to subside from an average of 10 percent in 1996 to 4 percent in 1997. The external current account deficit is expected to be brought under 16 percent of GDP in 1996-97.

- The program calls for continued consolidation of the government's finances. On the revenue side, efforts will focus on the reorganization of the tax directorate and on further improvements in customs efficiency. On the expenditure side, overall spending, including the wage bill, will be strictly limited, and priority will be given to the social sectors. The primary budget surplus is expected to be just over 1 percent of GDP in 1997, bringing the current budget account into balance. The overall fiscal deficit will be reduced to 14 percent of GDP in 1996 and 12 percent in 1997.

A study on the civil reform will be initiated soon, as well as audits of the two social insurance agencies. The military demobilization program is expected to reduce the size of the army by 7,000 to 25,000 men by end-December 1996.

- On the structural side, the government intends to undertake a reform of the largest state-owned enterprises. The program envisages that decisions will be made during the program year on the modalities for disengagement from the cotton, sugar, and water and electricity companies. First actions are to be taken before the end of June 1997.

- Chad's external debt service obligations over the medium and long term appear to be sustainable.

I. Introduction

Discussions on an economic and financial program for Chad that could be supported by the second annual arrangement under the enhanced structural adjustment facility (ESAF) took place in N'Djaména during the period July 23-August 7, 1996. 1/ A three-year arrangement under the ESAF, in an amount equivalent to SDR 49.56 million, or 120 percent of quota, was approved on September 1, 1995. In the attached letter from the Minister of Finance and the Minister of Planning and Cooperation, dated September 30, 1996, Chad requests the second annual arrangement under the ESAF in an amount equivalent to SDR 16.52 million (40 percent of quota), in support of the program outlined both in the memorandum of economic and financial policies for 1996/97 (Appendix I, Annex) and in the policy framework paper (EBD/96/129).

As of August 31, 1996, Chad's outstanding use of Fund resources amounted to SDR 39.1 million, equivalent to 94.6 percent of quota. Assuming full disbursement of the loans under the three-year ESAF arrangement, and taking into account scheduled repayments over this period, Chad's financial obligations to the Fund would amount to SDR 57.8 million, or 140 percent of quota, at end-June 1998. Chad's program of structural reform continues to receive support from the World Bank and other donors. Chad's relations with the Fund and the World Bank Group are summarized in Appendices II and III.

II. Background and Developments in 1996 2/

In the first half of 1996, Chad held its first pluralistic elections since independence 36 years ago. A constitutional referendum was held in March, followed by two rounds of presidential elections in June and July in which the incumbent was elected to power. Legislative elections are slated for November 1996. The government discussed its program of economic reform with major political groups, unions, and private sector employers, and as a result it forged widespread support for the program. The elections did not lead to any substantial departure from the authorities' policy commitments.

1/ The Chadian representatives included President Déby, the Minister of Finance, the Minister of Planning and Cooperation, the ministerial committee responsible for the implementation of the structural adjustment program, and other senior officials. Meetings were also held with representatives of the unions and private sector employers. Shortly after the departure of the mission President Déby named a new cabinet, which includes key ministers who played important roles on the technical team during the discussions. The staff team consisted of Mr. Plant (head), Messrs. Ellyne, Abdoun, Cossé, and Kramarenko (EP), all AFR, and Mrs. John (assistant-ADM). Mr. N'guiamba, Advisor to the Executive Director for Chad, participated in the discussions, as did a team from the World Bank.

2/ The first program year was July 1, 1995-June 30, 1996. Economic developments in 1995 and performance during the first half of the program year were discussed at the time of the midterm review (EBS/96/70).

Policies already in place, particularly those regarding government finances, were steadfastly implemented. Nevertheless, with political attention focused on the emergence of democracy, there was some slowing of the pace of structural reform in the first half of 1996. As regards program benchmarks, most quantitative benchmarks were met, the exceptions being those on domestic and external arrears and a small shortfall of tax revenue (Table 1). The structural benchmark on the study of the privatization of SONASUT (the sugar company) was not observed.

Economic developments were much as expected in the first half of 1996. Early indications are that real GDP growth of 6 percent is attainable in 1996; good rains will help the agricultural sector recover and industrial growth is expected to continue (Tables 2 and 3). The first half of 1996 saw an uptick in inflation. The price level increased by a cumulative 13 percent between end-December 1995 and end-June 1996 because of continued shortages of food resulting from last year's drought, irregular supplies of petroleum products, and higher effective taxation of imports due to improved customs enforcement. In addition, substantial salary arrears were paid to civil servants in the first half of the year, which increased demand for consumer goods. With the agricultural recovery, food prices are expected to decline in the second half of the year, moderating inflation for the year.

The implementation of the financial program was generally satisfactory. government revenue fell short of the program target for June of CFAF 30.9 billion by about CFAF 800 million (0.1 percent of GDP) (Tables 1 and 4), because petroleum tax revenues were lower than anticipated. This resulted from supply interruptions caused by an ongoing border dispute between Nigeria and Cameroon as well as the breakdown of a key bridge between Cameroon and Chad. 1/ Customs revenues were substantially higher than envisaged in the program, while income taxes lagged.

Total current expenditure was kept below program targets and the benchmark on primary current expenditures for the first half of the year was observed (Table 4). However, as in the second half of 1995, the distribution of expenditures was not as envisaged. Spending on military salaries exceeded the program target, while appropriations for health and education expenditures were underutilized. Unforeseen election costs and some shortfalls in election-related donor assistance caused the government to spend more of its own resources on elections than had been anticipated. Launching of the military demobilization program was postponed until after the presidential elections. 2/ The benchmark on civil service wage expenditure was observed, in part because some 1,600 workers found not to be legitimate government employees were removed from the payroll as a result of

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1/ By all accounts, the Bureau of Petroleum Taxation, which replaced a private firm that had been collecting tax revenues in 1995, is functioning well. Revenue losses from exemptions from import duties have been reduced by a duty drawback system instituted at the start of the year which helps ensure that all exemptions granted are warranted.

2/ The funds for this program, provided by the World Bank, were frozen.

the civil service census. The overall deficit on a commitment basis, excluding grants, was just over CFAF 31 billion in the first half of the year. With the clearance of CFAF 12 billion in domestic and external arrears, the cash deficit, excluding grants, was some CFAF 44 billion, of which CFAF 25 billion was filled by project grants and loans and CFAF 15 billion was filled by exceptional financing.

In the first half of 1996, a portion of exceptional external assistance that had been postponed from 1995 was received; however, disbursement of some funds, anticipated before end-June, was further postponed until the second half of 1996, into the second program year. A terms of reference Paris Club agreement was reached as were some agreements with non-Paris Club bilateral creditors. But, for the first program year, exceptional financing (including debt relief) fell short of that anticipated at the outset of the program by CFAF 22.5 billion (3.5 percent of GDP). Consequently, the June benchmarks on payment of domestic and external arrears were missed, but by less than the total shortfall in donor assistance.

Broad money growth for the first half of 1996 was estimated at 17.1 percent, somewhat above program projections (Table 6). Chad's contribution to the net foreign assets of the BEAC increased by CFAF 10.5 billion, or about 10 percent of beginning period money (Table 7). 1/ The increase of CFAF 2 billion in credit to the economy was primarily related to the cotton campaign and was within program projections. The discount rate, set at a regional level, remained stable at 8 percent while the reverse auction rate steadily declined, in line with the decrease in interest rates in the anchor country and because of a continued high level of liquidity in the banking system. Benchmarks on the net domestic assets of the central bank and net credit to the government were met (Table 1).

On the structural side, the privatization program moved ahead well in the first half of 1996, with four enterprises being privatized. One of them was privatized through the sale of shares to private individuals in Chad, while the other three were done by private placement. Ten firms were liquidated. Although the first companies privatized and liquidated were small, valuable experience was gained. Total revenue generated from these privatizations exceeded CFAF 0.5 billion. 2/ The study on the potential for privatizing SONASUT, the sugar company, was not begun. This was a structural benchmark of the program, but the authorities were unable to mobilize the necessary financing on time.

A draft study was completed in June on the possible ways of defining a mechanism to set the producer price of cotton so as to provide a closer link to world market prices and preserve producer incentives while ensuring

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1/ In part this reflects a non-utilization of some donor assistance (e.g., that for demobilization).

2/ Of this amount, CFAF 0.3 billion was received by the Treasury after June 30, 1996, and thus appears in the financial accounts in the second half of 1996.

adequate tax yields. As further analysis was requested, no decision is expected before the end of 1996. 1/ In the interim, the producer price of cotton was set at CFAF 170/kg for 1996/97 (compared with CFAF 140/kg in 1995/96), which had the effect of substantially increasing cotton planting.

Developments in the first half of 1996 indicate that the balance of payments outlook for 1996 appears to be less favorable for 1996 than envisaged at the time of the midterm review (Table 5). The prospects for cotton exports have weakened because of both a smaller-than-envisaged 1995 crop as well as a decline in world cotton prices. 2/ The steady progress of the public investment program has led to an increase in capital imports, while the payment of salary arrears may have contributed to higher imports of consumer goods. The current account deficit, excluding official transfers, is projected to be 17 percent of GDP in 1996, compared with 16 percent envisaged earlier. Chad accepted the obligations of Article VIII, Sections 2, 3, and 4, of the Fund's Articles of Agreement, in June 1996.

III. Medium-Term Objectives

The authorities have decided to continue their adjustment and reform efforts, and will be guided by the overall strategy adopted in their previous PFP, which has now been updated to cover the period 1996-1999. Building on the progress made in 1995/96, policies to achieve these objectives will concentrate on: (a) consolidating public finances with particular attention to budget preparation and execution, administrative reform of the tax agencies, and the restructuring of the civil service; (b) orienting current and capital spending in favor of the key development sectors of health, education, and infrastructure; (c) restraining credit growth so as to maintain an appropriate level of foreign exchange reserves while providing the private sector with adequate financing; (d) disengaging the state from activities better managed by the private sector; and (e) promoting an environment conducive to the development of the private sector and the diversification of the country's economic base.

The medium-term macroeconomic objectives include achieving average real GDP growth of over 5.5 percent a year, which implies an average per capita growth of about 3 percent a year; lowering the rate of inflation from the 10 percent projected for 1996 to less than 3.5 percent by 1999; and reducing the external current account deficit (excluding official transfers) from 17 percent of GDP projected for 1996 to just under 13 percent in 1999 (Table 2). Under the proposed policy framework, the revenue-to-GDP ratio will rise from 10 percent of GDP in 1996 to 11.4 percent by 1999, while total spending will decline from 24 percent of GDP in 1996 to some

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1/ The government, officers of the cotton parastatal, World Bank staff, and the Fund mission all felt that the study required further refinement before it could be used to make a final decision.

2/ Cotton harvested in one calendar year is exported in the next calendar year.

21 percent, with the share of current spending being substantially reduced. Domestic savings will grow steadily over the period, which, with continued external support, will permit fixed investment to reach 17 percent of GDP in 1999 (Tables 2 and 3). 1/

IV. The 1996/97 Program 2/

The second year of the ESAF-supported program in Chad marks a transition for the authorities, with their focus turning from the task of mobilizing sufficient revenues to support a minimal level of governmental services to that of fundamental structural reform. Consistent with the medium-term strategy, the second-year program envisages growth of 6 percent in 1996, based on the recovery of the agricultural sector, and it targets growth of 5 percent in 1997 based on continued growth in light industry and in construction and public works (Table 2). Inflation is expected to subside from an average of 10 percent in 1996 to 4 percent in 1997. Strong cotton exports should help reduce the external current account deficit to less than 16 percent in 1997. Given current projections for capital inflows and debt relief, the 1996/97 program is expected to be fully financed. The following sections describe the principal features of the program, which is described in more detail in the memorandum of economic and financial policies (Appendix I, Annex).

1. Fiscal policies

The good fiscal performance in the first half of 1996 is expected to continue through the end of the year. As a result, the fiscal stance for 1996 is slightly stronger than that anticipated at the midterm review. Revenues are expected to strengthen in the second half of the year, bringing the total for the year to the equivalent of 10 percent of GDP (Table 4). Quarterly estimated income tax payments for large enterprises will begin to be made during the second half of the year. In anticipation of a more thorough reform of the turnover tax (TCA) in the 1997 budget, two important measures have been taken. First, the authorities rescinded a ministerial circular that had granted, without basis in law, the reduced TCA rate to certain products. Second, they re-established the full-value base for taxation of cigarettes. 3/ Also, coordination between customs and tax directorates will be strengthened further, as information systems are upgraded. Expenditures for the year as a whole will be a bit higher than anticipated at the midterm review; higher outlays associated with the elections will be offset only in part by lower expenditures on the civil service and on materials and supplies. With current expenditures projected

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1/ The medium-term objectives and policies are described in more detail in the updated PFP.

2/ The second-year program covers July 1, 1996 to June 30, 1997.

3/ Excise taxes and the TCA had been applied to cigarettes at the normal rates, but on a value base that had been reduced by 60 percent. Thus the effective rate of taxation had been reduced substantially.

to be 12 percent of GDP, the current deficit is now estimated to decrease to 2 percent of GDP. On this basis the overall deficit (commitment basis, excluding grants) is projected to be CFAF 87 billion (14.0 percent of GDP). The target for domestic arrears repayment in the second half of 1996 has been set at CFAF 8.3 billion, bringing the total for 1996 to CFAF 16.7 billion. 1/ As a result, the overall deficit (cash basis, excluding grants) is projected to increase to 17.8 percent of GDP.

For 1997, the government's financial position is projected to improve further (Table 4). The program envisages a small current deficit (less than 0.1 percent of GDP), and an overall deficit on a commitment basis, excluding grants, of 12 percent of GDP. The intent is to continue to consolidate the progress made in reforming the legislative basis and administration of the tax system, and increase total revenue to 10.2 percent of GDP. 2/ A series of measures suggested by a Fund technical assistance mission to improve the yield of the TCA will be implemented in the context of the 1997 budget (Appendix I, Annex, paragraphs 17 and 18 (a.ii)). In addition, effective July 1, 1997, the government intends to replace a variety of taxes on small business with a single tax, thus simplifying collection and broadening the tax base. Finally, the authorities plan to implement a system to monitor more closely exemptions granted on import duties before the end of 1996. 3/ These efforts will be enforced by enhanced computerization at customs (Appendix I, Annex, paragraph 18 (c)). In accordance with FAD recommendations, the authorities plan to reorganize the tax directorate, and have established a large taxpayers unit (Appendix I, Annex, paragraph 18 (a.i)). With donor support, this unit will be adequately equipped and staffed.

On the expenditure side, the 1997 budget will not need to provide for election or demobilization expenses and thus current expenditures are expected to drop to 10.3 percent of GDP. Current primary expenditures are projected to increase by 8 percent, bringing them to 9 percent of GDP. Expenditures on priority development ministries (health and education) are slated to increase by 20 percent in real terms, while defense expenditures are to be maintained at their nominal level in the 1996 budget. The program includes full provision for the government's expected electricity and water

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1/ At the time of the midterm review, domestic arrears of CFAF 19.5 billion were slated to be paid in 1996. However, shortfalls in external financing relative to that envisaged for calendar year 1996 make it impossible to attain that target. The difference is to be made up in the first half of 1997.

2/ Projections of the impact of the government's revenue measures are conservative. This reflects the prudent stance of the government in not planning expenditures based on overly optimistic revenue forecasts.

3/ In 1995, about one-third of imports were exempted from duties, which impedes customs control. The authorities are in the process of consulting with neighboring countries on the control practices that have worked elsewhere.

usage. 1/ Although a wage freeze will be maintained, the wage bill is expected to rise slightly because of support needed for the new democratic institutions called for under the recently adopted constitution. 2/ Given the need to keep a tight rein on the wage bill, the program maintains a wage bill ceiling as a performance criterion. Transfers are projected to increase as the government has committed itself to making full payment of its contribution to the social insurance agencies (see below). The government intends to increase its contribution to public investment to CFAF 5 billion and clear CFAF 20 billion in domestic arrears, of which CFAF 13.6 billion is to be cleared in the first half of the year.

There are several problems confronting the government that have an ongoing fiscal impact and will require special action in the second year of the program: civil service reform, reform of the social insurance agencies, and demobilization. On civil service reform, the first priority is to solidify the statistical base for monitoring the wage bill. Currently the responsibility for employment decisions rests with the Ministry of the Civil Service, while payments are managed by the Ministry of Finance. Without a fully computerized information base for the civil service, figures of the two ministries are inconsistent and accurate projections of wage bill developments are difficult. Thus, the authorities intend to integrate the results of the recent census with payroll records in order to have a single computerized employment/payroll file by the end of 1996. At the same time, they are initiating a two-phase study on the reform of the civil service, which is financed by the World Bank. The first phase, to be completed by end-March 1997, will look at the legislative and institutional framework for the civil service, particularly employment, remuneration, advancement, and retirement. The authorities aim to put these reforms in place by end-June 1997. The second phase will consist, inter alia, of ministry-by-ministry audits to rationalize the personnel needs of each ministry, while strengthening the work force in key development ministries.

The second year of the program will also mark the beginning of an effort to address the problems of the two social insurance agencies: the government retirement plan (CNRT) and the social security agency (CNPS). Both require an actuarial audit to enable the government to begin to address their problems of capitalization. These audits, to be funded by the World Bank, are expected to be completed by the end of 1996, with decisions to be taken on the modalities of a long-term restructuring in the context of the

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1/ In the past, electricity and water payments had been underbudgeted, leading to substantial arrears to the electricity parastatal. A study on the government's energy needs and ways to conserve on energy consumption is under way.

2/ The constitution, adopted in March 1996, allows 18 months for these institutions such as Parliament, juridical bodies and commissions to be put in place. The provisional expenditure projection assumes that these institutions will be in place for about half a year in 1997. Further refinement of these figures will be made in the context of the 1997 budget review.

midterm review of the program. The cash-flow position of the CNPS is not critical, but the government has committed itself not to borrow further from the CNPS (such borrowing took place in the late 1980s and early 1990s), to enable the CNPS to meet its obligations during the program period. The CNRT, in contrast, has been experiencing a critical cash shortage for several years. The 1996 budget provided for the government to transfer a lump sum to the CNRT together with earmarked proceeds from the petroleum tax. For 1997, the government has undertaken to pay its contribution to both the CNRT and CNPS, as well as the contributions of its employees to the CNRT, which heretofore had been withheld from employees' paychecks but not forwarded to the CNRT.

The military demobilization program was postponed again, this time because of the elections. The goal of the government now is to have demobilized 3,000 soldiers by the end of September and 7,000 soldiers by the end of December. This would reduce the size of the army to 25,000. Once this demobilization is completed, the government intends to formulate a program to help reintegrate soldiers into civilian life and to present this program to donors for funding at a round table in the first quarter of 1997. 1/ This reintegration phase would likely be accompanied by additional demobilization and a profound restructuring of the army, after which one might expect significant savings in military salaries to begin to accrue. 2/

2. Monetary and credit policies

The objective of the government, in concert with other members of the regional central bank, is to keep demand pressures in check while consolidating the foreign exchange reserves at the regional level. Broad money is projected to grow by 13.6 percent in 1996 and by 11.3 percent in 1997, with net domestic assets of the banking system increasing by 10.8 percent of the beginning-period broad money stock in 1996 and by 4.5 percent in 1997 (Table 6). Domestic credit will decline slightly in 1996 as the cash position of large agriculture companies strengthens. Chad's contribution to the net foreign assets of the BEAC will decline in the second half of 1996, with continued high imports. In 1997, increased capital inflows, in connection with program financing, will more than reverse this decline. 3/

1/ This program will be developed with World Bank assistance in the context of their structural adjustment operation.

2/ Currently, the military is paid on a lump sum basis and receives about 50 percent of its nominal salary. Thus, given the low rate of military pay, it is only with a more profound restructuring of the army that any budgetary savings might be realized. However, at a minimum, it is expected that over the period of the ESAF arrangement the nominal military budget will not increase.

3/ Progress continues to be made in sorting, by country of origin, BEAC bills held at the Chadian national agency. The stock of unsorted bills has declined and the authorities are considering using statistical methods to account for unsorted small denominations.

Chad fully supports the efforts of the monetary authorities to strengthen banking supervision in the zone through the regional banking commission (COBAC). The government will expedite the privatization of the remaining parastatal commercial bank, the BTCD, and the development bank, the BDT. Efforts to privatize these institutions in 1996 failed because of lack of suitable parties. It is hoped that a restructuring of the terms of sale can facilitate their successful privatization.

3. Structural policies

With experience gained from the privatization program in 1995/96, the government is now in a position to undertake the reform of the largest state-owned enterprises: the post and telephone companies, ONPT and TIT, the cotton company, COTONTCHAD, the sugar company, SONASUT, and the electricity and water company, STEE. Each of these companies is critical to the development of the Chadian economy, represents a large part of formal sector employment, and most involve financial partners other than the government. Thus, for the reforms undertaken by the authorities to be effective they must: (i) demonstrably benefit the economic development of the country; (ii) account for the social impact of reform; (iii) benefit from a discussion with social partners, and (iv) have the agreement of other financial and strategic partners. The 1996/97 program year aims to ensure that these conditions are met and that substantive reform begins to be undertaken.

The organizational restructuring of the post and telecommunications companies should take place before the end of 1996. The domestic telephone service, which is now in the same organization as the post office (ONPT), will be split off and merged with the international telephone service (now the TIT). The post will remain a government agency, while the new telecommunications company will be privatized, probably in 1997. 1/

A series of studies are under way concerning COTONTCHAD. The producer pricing study will be revised in the next few months and a study on the development of human resources within the corporation will be completed shortly. A provisional report on the options for the disengagement of the state from COTONTCHAD is to be completed by end-December 1996, and will provide the basis for the development of an action plan by end-April 1997, with the first steps to be taken by end-June. 2/ This provisional report constitutes a structural performance criterion for the program and the action plan a structural benchmark.

As to SONASUT, the study on the modalities of privatization will be completed by end-March 1997 (a structural benchmark), with a decision being taken by June. The government has reaffirmed its decision to lift SONASUT's import monopoly on January 1, 1997. In light of that decision, the company

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1/ Actual timing will depend on reaching agreement among the several private partners in TIT.

2/ The report will also examine the possible corporate structures of COTONTCHAD.

asked for temporary protection to enable it to expand its scale of operations and lower its average cost. The government responded by agreeing to tax sugar imports on the basis of a reference price reflecting the production cost of sugar in the world market, for a period of one year only. It also took measures to fight against smuggling of sugar imports and encourage SONASUT to reduce costs.

A provisional report on the potential for privatizing the water and electricity company (STEE) will be completed by the end of 1996 (a structural performance criterion), and the process of disengagement is slated to begin by March 1997. Regarding the privatization of other enterprises, public offerings of five firms are slated to be completed in 1996, and two more liquidations are expected in 1997. Other than the large companies noted above, this would complete the process of privatization of enterprises in which the state has a majority share.

The social and environmental aspects of the program are presented in detail in the PFP (Sections V and VI.9). The program aims at reducing poverty over the medium term through economic growth and improvement of living standards. The government's budgetary policy supports those sectors key to rapid growth in the human and physical capital of the country. In the interim, measures will be taken to soften the impact of adjustment on the most disadvantaged groups. In this context, the prices of essential medicines will remain under administrative control. Labor-intensive public infrastructure programs will help in job creation. Environmental efforts are focused on providing alternative sources of energy to prevent harmful deforestation. Environmental impact studies are under way regarding the exploitation of the country's oil resources.

The authorities are conscious of the poor state of official statistics in Chad and will continue to work to improve them. During the program year, they plan to adapt the balance of payments presentation in accordance with the fifth edition of the Fund's balance of payments manual. They also plan to enact a statistical law in 1997.

4. External sector policies and financing

a. The balance of payments in 1996-97

The current account deficit, excluding transfers, is projected to be just under 16 percent of GDP in 1997, following an expected increase to 17 percent in 1996 (Table 5). 1/ Imports will remain high in 1997 because of the continuing large program of public investment, but exports are expected to increase at a faster pace as a result of a rebound in the volume of cotton exports following the large crop expected this year, and a projected improvement in the terms of trade in line with World Economic Outlook (WEO) projections. Capital inflows are expected to strengthen

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1/ The 1996 balance of payments projections are reviewed in Section II above.

modestly as project grants and loans increase, although foreign direct investment, other than that associated with the exploitation of petroleum reserves, will likely remain very small.

b. Payment of external arrears

The program provides for the elimination of external payments arrears by the end of 1996. 1/ The government is committed to completing the negotiation of bilateral agreements with all Paris Club creditors before December 31, 1996 and will strive to conclude agreements with non-Paris Club creditors on terms at least as concessional as those accorded by the Paris Club.

c. Program financing for 1996-97

Exceptional financing requirements for 1996 are projected at CFAF 42.9 billion, of which CFAF 25.7 billion has been obtained (Table 4). Of the remaining CFAF 17.7 billion, CFAF 6.2 billion would be available from the Fund under the proposed second-year program. Commitments exist from multilateral and bilateral creditors to cover CFAF 7.9 billion and negotiations are ongoing with non-Paris Club creditors to cover the remainder. For the first half of 1997, exceptional financing of CFAF 20.2 billion will be required, of which CFAF 10.2 billion is expected from the World Bank and CFAF 6.2 billion from the Fund after successful completion of the midterm review. The remaining amount will be covered by existing commitments from multilateral creditors. Thus reasonable assurances exist that the 1996/97 program is fully financed. For 1997 as a whole, exceptional financing is estimated at CFAF 36.4 billion and the residual gap stands at CFAF 13.8 billion. Some CFAF 4 billion of the latter remains to be covered by donor commitments.

d. Medium-term outlook

By the end of 1999, the current account deficit, excluding transfers, is expected to narrow to 12.9 percent of GDP, reflecting financial adjustment and a substantial improvement in the terms of trade (Table 5). Average yearly growth in export volume over the period is projected to be about 7 percent, based on continued growth in cotton output and some growth in livestock exports. Import growth should remain strong as economic activity rebounds; however, import growth will slow somewhat beginning in 1999 when the public investment program begins to level off. The average import volume growth is about 8 percent a year over the period. Growth in the services deficit should roughly follow the growth in merchandise imports. Capital inflows are expected to grow slowly, in line with direct investment. External financing will average about CFAF 95 billion a year in the 1996-99 period, mostly covered by official transfers and concessional loans. The

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1/ Arrears of CFAF 14.6 billion are projected to be cleared, of which CFAF 11.3 billion through cash payments.

annual financing gap is estimated at an average of about CFAF 10 billion a year during the four-year period, with the largest gaps in 1996 and 1997.

e. Oil exploitation

The medium- and long-term outlook for the economy and the balance of payments will be sharply improved once oil reserves in the south of the country are exploited. Because negotiations between the government and a consortium of foreign private oil companies are still under way, a detailed macroeconomic analysis of the impact of the projects cannot be completed. However, given the broad outlines of the project it is expected that investment could commence at the end of 1997 to develop two oil fields--Sedigui, in the area of Lake Chad, to be used for domestic consumption, and Doba, in the southeast, to be used for export via a pipeline through Cameroon. Production at both sites would come on stream around the turn of the century. The Sedigui field would produce about 3,000 barrels a day and would enable Chad to be largely oil self-sufficient for 15 years. The full export capacity of Doba would be about 250,000 barrels a day.

Current projections indicate that with full exploitation of the oil reserves the current account, excluding transfers, would improve to a surplus averaging 14.5 percent of GDP in 2001-2005, with some tapering off of the impact by 2015 (Table 10). 1/ The government is aware of the dramatic impact that petroleum production could have on the economy and has committed itself to some basic principles in the use of the further revenue from oil exploitation (see the PFP, paragraphs 13 and 48). It will engage in further work once the modalities of the exploitation agreement are finalized. 2/

f. Debt sustainability and capacity to repay the Fund

The update to the debt sustainability analysis shows that there has been little change since the midterm review. 3/ The end-1995 debt stock, including arrears, was about CFAF 401 billion (75 percent of GDP), 84 percent of which was owed to multilateral creditors. In net present value terms, the debt stock was CFAF 205.7 billion, or 151 percent of exports of goods and nonfactor services. Assuming average export volume growth of 4-5 percent a year over 1996-2005, total debt service will decline to about 7 percent of exports of goods and nonfactor services by 2005 (Table 10). For debt to multilateral creditors, the debt service ratio will decline to 6 percent by 2005. In view of the need for substantial public investment,

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1/ A detailed oil scenario was presented at the time of the midterm review (EBS/96/70, Appendix V, Section 6).

2/ The World Bank is conducting a study on the potential economic impact of the oil exploitation projects and is coordinating its work closely with Fund staff.

3/ The analysis presented in Table 10 differs from that in the report on the midterm review (EBS 96/70, Appendix V) in its assumptions on export price changes, (now higher) export volume growth (now lower), and GDP growth (slightly lower).

the debt stock to GDP ratio is projected to decline only gradually, reaching 116 percent of exports of goods and nonfactor services in net present value terms in 2005. The debt situation is sensitive to the availability of nonconcessional financing as well as continual growth in cotton export receipts (Table 10). If cotton export receipts were to fall by 30 percent over the entire period, the debt ratio would increase to 366 percent in 2005. Similarly, if only nonconcessional financing were available, the debt ratio would jump to just over 250 percent. Given the overall debt situation, Chad can be expected to continue meeting its future obligations to the Fund in a timely manner.

g. Exchange system

The authorities have indicated that the making of payments and transfers for current international transactions will remain free of restrictions and that the limits on travel allowances will continue to be administered liberally. Some private sector representatives complained that the process for obtaining foreign exchange for current transfers was slow and lacked transparency. The government disputed this claim, and pledged to maintain an efficient and transparent process. The government also pledged to work toward the harmonization of exchange regulations in the BEAC zone, assuring that the provisions are consistent with Article VIII of the Fund's Articles of Agreement.

5. Performance criteria, benchmarks, and review

The performance criteria and benchmarks of the program are listed in Table 1 attached to the annexed memorandum on economic and financial policies. Progress under the program will be assessed in the context of the midterm review, to be completed not later than April 30, 1997. This review will focus on an assessment of fiscal, monetary, and external developments, including commitments and disbursements of adjustment assistance, and on the observance of applicable quantitative and structural performance criteria.

V. Staff Appraisal

Substantial progress was achieved by Chad in a number of areas during the first year of the ESAF-supported program. In a climate of political uncertainty, with the country undertaking its first multiparty elections in its 30 years of independence, the authorities were able to build domestic consensus for their program, and showed good resolve in executing the program they had put forward.

Revenue mobilization was the strongest area of performance during the first year of the program. Actual collections in 1995 and so far in 1996 exceeded original program projections by wide margins. However, the revenue-to-GDP ratio remains low, and thus it will be important to implement the revenue measures included in the second-year program. These measures will (i) strengthen the administration of the turnover tax, (ii) focus the resources of the tax department on collecting taxes from large enterprises, and (iii) bring a more systematic monitoring of exemptions on imports. In addition, by the end of the program year, the government intends to simplify taxes on small enterprises thereby facilitating collection and broadening the tax base. Given the underdeveloped nature of Chad's tax administration, the impact of these measures is hard to predict. Thus, the program projections are conservative.

Expenditure control was weaker than expected. Expenditure overruns more than offset the strong revenue performance in the second half of 1995, and, although the overall expenditure ceiling for the first half of 1996 was observed, spending on priority social sectors lagged behind that envisaged in the program, while defense spending was accelerated. Expenditure control will need to be tightened to ensure that outlays do not exceed program targets. Current expenditures in 1997 are projected to decline, both in level and as a percent of GDP, as a result of not having to repeat outlays made in 1996 on elections and demobilization, most of which were donor-financed. However, primary current expenditures would increase, reflecting a 20 percent real increase in budgetary allocations to key development sectors. The authorities' commitment to a nominal freeze on defense expenditure in 1997 will be critical and to ensure that this shift in the composition of expenditure actually takes place.

A key element affecting expenditure control in 1995 was a wage bill that was markedly higher than budgeted. The authorities intensified efforts in this area in the first half of 1996, and the wage bill was kept below the program ceiling. However, the data base required to make coherent projections was not fully developed, and substantially more work is needed over the next few months. This technical work will constitute a prelude to a deeper reform of the civil service, which will proceed in two steps--first, the reform of the governing laws and regulations and then, detailed ministry-by-ministry audits. In the meantime, the authorities' decision to freeze wages and maintain a wage bill ceiling is appropriate.

A full restructuring of the government retirement fund (CNRT) and the government-run social insurance fund (CNPS) is needed. Both require actuarial audits and may eventually need donor financing to re-establish a sound financial position. In the interim, beginning with the 1997 budget, it is important that the government make full payment of its contribution to the two institutions as well as the contribution to the CNRT withheld from its employees. This will ensure that the CNRT, in particular, can begin to make regular payments to government retirees, and thus facilitate the timely retirement of civil servants.

External financing fell short of that originally envisaged by CFAF 22.5 billion (about 3.5 percent of GDP) in the first year of the program. This delayed the clearance of external and domestic arrears and complicated cash-flow management. Projected external financing for the second year of the program is sufficient to allow clearance of all external arrears by the end of 1996 (assuming negotiations with some bilateral creditors are successful); however, the clearance of CFAF 2.8 billion of domestic arrears originally programmed for 1996 had to be postponed to 1997. Current commitments from bilateral and multilateral donors provide sufficient financing for the second year of the program.

On the structural side, the authorities advanced in the privatization program in 1995/96, albeit with small enterprises, and implemented some structural measures that laid the foundation for deeper reform in other areas. The 1996/97 program will mark a transition to policies more focused on reform of the parastatal sector, which are essential to achieving long-term sustainable growth. With elections almost behind them, the authorities are now in a position to proceed with fundamental changes that are expected to transform the cotton and sugar sectors and the provision of water and electricity. But these changes require careful study and discussion. As during the first year of the program, the authorities intend to build a social consensus to ensure that the planned reforms enjoy wide support. However, study and discussion should not be used as an excuse for delaying tangible actions that must be taken to give momentum to reform. The Fund and World Bank staffs have worked closely with the authorities and donors to craft a calendar that is ambitious but feasible. By end-1996, the authorities should have provisional studies that will permit a discussion on the modalities of disengagement from the cotton company as well as from the electricity and water company. In turn, decisions are to be taken in the first quarter of 1997 and the first actions are to be taken by end-June 1997. For the sugar sector, the preliminary study should be ready by end-March 1997 and decisions will be taken soon thereafter. At the same time the telecommunications and post companies will be restructured.

The authorities should continue to lend their support to reforms at the regional level to strengthen the effectiveness of monetary policy and move to market-based indirect instruments of monetary control. Efforts to privatize the two state-owned banks, which met with little success in 1995/96, have been relaunched, and the authorities should pursue these vigilantly in the coming months.

Chad's proven oil reserves hold out the possibility for a major improvement in economic conditions. The agreements to enable Chad to exploit its oil resources are expected to be reached in the next six months, and the early phases of investment could begin in late 1997. Once the precise modalities of the financial arrangements are known, they will have to be incorporated into the program, most likely in the context of the midterm review. The principles of project management articulated by the government are a good foundation to ensure transparency and sound utilization of the revenues expected by the turn of the century.

The balance of payments position is expected to improve over the medium term, even without taking into account the possibility of oil exports. Improvements in the external position will initially be moderate as the large public investment program will require substantial imports, while exports will be somewhat capacity bound. Chad's debt burden is manageable and its debt-service obligations appear to be sustainable even with continued borrowing to support public investment.

Given the broadly satisfactory implementation of the 1995/96 program, the authorities' demonstrated determination to continue to strengthen economic and financial management and to undertake critical structural reforms, and the projected favorable evolution of Chad's debt indicators and capacity to repay the Fund in a timely manner, the staff recommends approval of the request for the second annual arrangement under the enhanced structural adjustment facility.

V. Proposed Decision

In view of the foregoing, the following draft decision is proposed for adoption by the Executive Board:

1. The Government of Chad has requested the second annual arrangement under the enhanced structural adjustment facility in an amount equivalent to SDR 16.52 million.

2. The Fund has appraised the progress of Chad in implementing economic policies and achieving the objectives of the program supported by the first annual arrangement, and notes the updated policy framework paper of Chad set forth in EBD/96/129.

3. The Fund approves the second annual arrangement set forth in EBS/96/160.

CHART 1

CHAD
NOMINAL AND REAL EFFECTIVE EXCHANGE RATES
January 1985 - June 1996

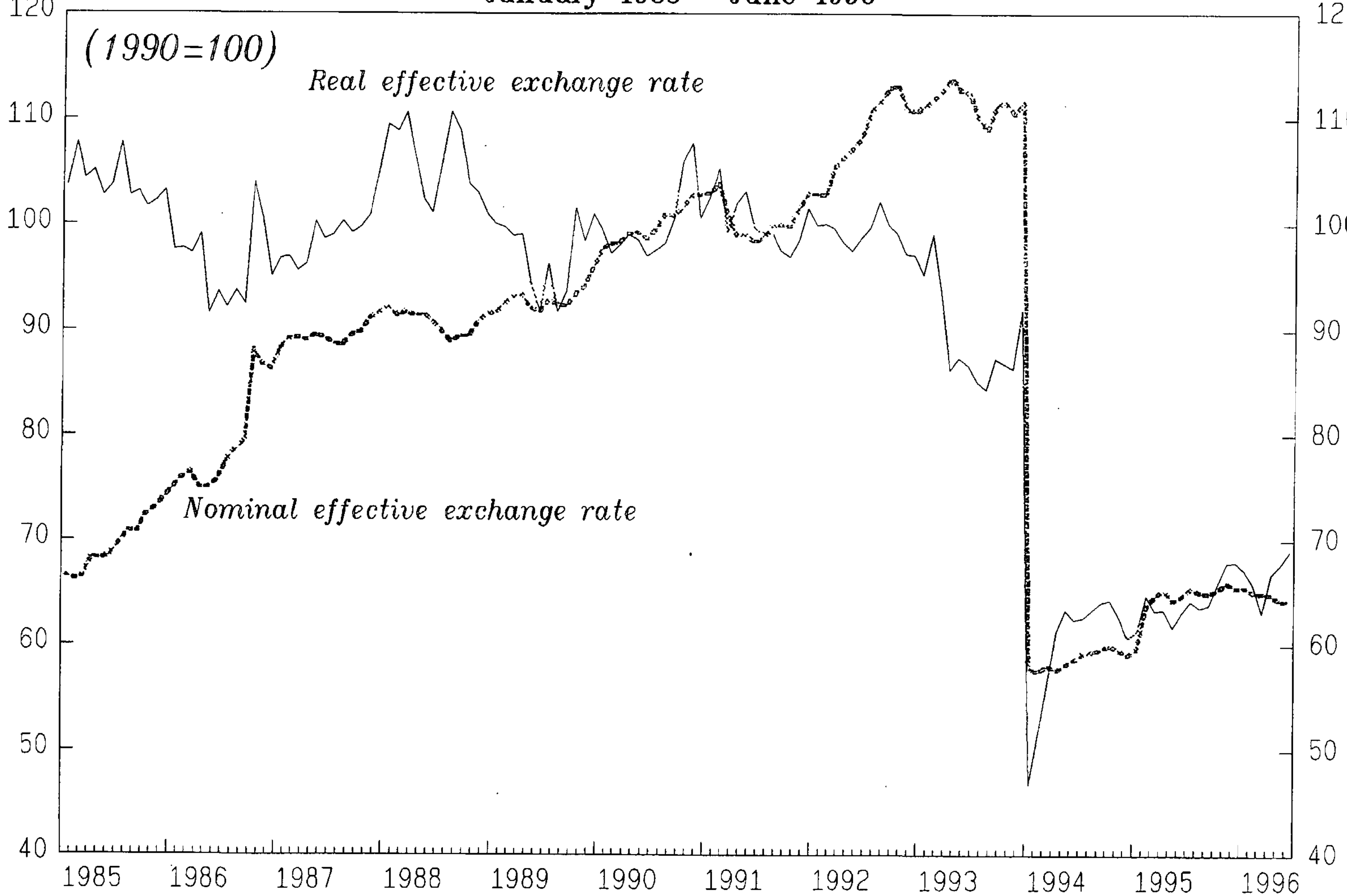

Table 1. Chad: Quantitative and Structural Benchmarks
for the First Annual Arrangement Under the
Enhanced Structural Adjustment Facility, January 1, 1996-June 30, 1996

(In billions of CFA francs)

	1995	Cumulative changes from end-June 1995			
		1996			
	End-June	March 31		June 30	
	Rev.	Rev.	Actual	Rev.	Actual
A. Quantitative benchmarks 1/					
Net domestic assets of the Central Bank (BEAC) 2/	42.6	12.8	-3.0	10.3	7.8
Net credit of the banking system to the Government 2/	45.3	3.2	-22.5	7.7	-7.4
Domestic payments arrears 3/ (cumulative changes since January 1996)	26.0	-10.2	-7.4	-16.9	-8.3
External payments arrears 3/	34.5	-20.8	-15.4	-34.5	-21.0
Of which: in cash	(10.8)	(-4.7)	(-3.7)	(-10.8)	(-8.9)
External loans contracted or guaranteed by the Government on nonconcessional terms:					
- less than 1 year's maturity 4/	--	--	--	--	--
- 1 to 15 years' maturity	--	--	--	--	--
Current primary expenditures 5/ (cumulative changes since January 1996)	...	12.5	11.4	29.0	29.0
Wage bill 6/	...	7.7	7.5	15.5	15.2
Tax revenue	18.6	34.7	30.5	49.0	48.6
Monitored variable					
Net domestic assets of the banking system	51.1	17.9	-13.9	13.7	0.5
B. Structural benchmarks					
1. Presentation of a study on different options for the divestiture of government from the SONASUT.			Not done.		
2. Presentation of a study, with the assistance of the Fund, on the simplification of direct taxes.			FAD mission (May 1996).		
3. Presentation of a study, with the assistance of the Fund, on possible modalities and timing of the introduction of a value-added tax.			FAD mission (May 1996).		

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

1/ The principal adjusters in cases of shortfalls of external assistance are as follows: (a) shortfalls before end-1995 would lead to a postponement in the elimination of the latest external payments arrears to the end of the first program year (end-June 1996); (b) shortfalls persisting during the program year 1995/96 would lead to a reduction in the settlement of domestic arrears up to the total amount foreseen for the period through June 1996 (CFAF 6.7 billion); for larger shortfalls, a consultation with the Fund staff would ensue. In the case of a level of domestic tax revenue and external financing higher than programmed, one half of the excess would be used in equal parts to increase the settlement of payments arrears and to reduce net credit of the banking system to the government and net domestic assets of the central bank.

2/ May be adjusted in line with the contingency provision in Footnote 1 above.

3/ No new accumulation of arrears is allowed, with the exception of external debt service payments, for which a rescheduling is foreseen. The reduction in domestic and external payments arrears may be affected by the availability of external financing (see Footnote 1 above).

4/ Excluding normal import-related credits, on a disbursement basis.

5/ Including committed expenditure with no payment order, but excluding demobilization and election outlays. May be adjusted in line with the savings on the wage bill.

6/ On a commitment basis, cumulative changes as of January 1, 1996.

7/ Including nonproject grants and loans, excluding the Fund.

Table 2. Chad: Selected Economic and Financial Indicators, 1993–99

	1993	1994	1995	1996	1997 Program	1998	1999 Proj.
	(Annual changes in percent, unless otherwise specified)						
National income							
GDP at current prices	−16.8	58.0	15.1	15.2	8.3	9.2	9.7
GDP at constant prices	−15.7	10.2	2.8	6.0	5.0	5.5	6.2
Implicit GDP deflator	−1.3	43.4	12.0	8.7	3.1	3.5	3.3
Consumer price index (average)	−7.0	41.3	9.5	10.0	4.0	3.5	3.3
Consumer price index (December to December)	1.4	49.4	10.0	4.9	4.1	3.5	3.3
Central government finance 1/							
Revenue	−7.2	9.7	40.3	38.2	13.7	16.9	14.8
Total expenditure	−13.0	48.9	4.5	14.4	2.9	7.3	6.2
Of which: current expenditure	(−1.8)	(26.1)	(−1.2)	(14.9)	(−4.7)	(4.9)	(5.3)
Money and credit 1/							
Net foreign assets 2/	−24.3	66.8	40.5	2.8	6.7	...	...
Net domestic assets 2/	1.6	0.2	−5.3	10.8	4.5	...	...
Domestic credit	11.5	14.8	−9.5	12.9	4.5	...	...
Of which: net claims on central government 3/	(21.2)	(8.1)	(−14.7)	(13.9)	(3.7)	...	...
credit to nongovernment sector 2/	(−9.6)	(6.7)	(5.3)	(−1.0)	(0.8)	...	...
Broad money 4/	−21.6	66.3	36.0	13.6	11.3	...	...
Velocity (GDP relative to average M2) 5/	5.4	7.3	5.8	5.4	5.3	...	...
External sector (in CFA francs)							
Exports, f.o.b.	−10.8	93.5	39.2	1.3	18.4	17.2	10.6
Imports, f.o.b.	−9.7	68.0	16.9	13.3	10.4	11.2	6.6
Export volumes	−9.8	0.2	15.9	2.3	13.1	8.5	6.3
Import volumes	−11.8	−18.0	18.6	8.9	9.7	9.0	4.4
Terms of trade	−5.0	−3.7	20.2	−4.8	3.9	5.8	1.9
Real effective exchange rate (− depreciation) 6/	2.7	−47.4	9.8	1.5	...	...	...
	(In percent of GDP, unless otherwise specified)						
Basic ratios							
Gross fixed investment	12.8	16.0	14.9	15.9	16.4	16.8	17.1
Central government investment	10.2	12.9	12.2	12.0	12.0	11.9	11.7
Private sector investment	2.6	3.1	2.7	3.9	4.4	4.9	5.4
Gross domestic savings	−9.9	−0.4	2.4	1.3	3.3	5.0	6.7
Gross national savings	−5.4	4.7	6.3	3.0	3.0	4.6	6.2
Central government finance 1/							
Revenue	10.0	6.9	8.3	10.0	10.2	10.9	11.4
Total expenditure	28.7	27.1	24.1	24.0	22.3	21.7	21.2
Current balance (− = deficit) 7/	−7.8	−7.3	−3.7	−2.0	−0.1	1.1	2.0
Current primary balance (− = deficit) 7/	−5.4	−5.2	−2.2	0.7	1.1	2.2	3.1
Overall fiscal deficit (commitment basis) 7/	−18.7	−20.1	−15.8	−14.0	−12.1	−10.9	−9.7
Overall fiscal deficit (cash basis) 7/	−13.5	−18.9	−14.6	−17.8	−15.0	−12.1	−10.4
Domestic financing	3.0	−0.2	−1.3	2.2	−1.0	−0.9	−0.2
External financing (already obtained)	10.5	19.0	15.9	12.8	12.2	11.4	9.4
Financing gap (−)	--	--	--	−2.8	−3.8	−1.6	−1.2
External sector							
Current account (− deficit)							
Including official transfers	−18.1	−11.3	−8.5	−12.8	−13.4	−12.2	−10.9
Excluding official transfers	−24.2	−18.7	−14.7	−17.0	−15.7	−14.4	−12.9
Overall balance of payments (− = deficit)	−2.7	3.7	4.0	−1.7	−2.7	−1.8	−0.8
External debt outstanding 8/	65.4	85.3	74.2	67.7	67.4	66.1	63.4
Debt−service ratio 9/							
Including the Fund	12.7	15.2	10.7	11.0	11.8	10.9	8.5
Excluding the Fund	11.5	13.4	8.2	8.3	7.6	7.3	7.0
Total grants	15.3	17.0	13.4	11.1	9.1	8.7	8.2
Current grants	6.0	7.4	6.2	4.2	2.3	2.2	2.0
Capital grants	9.2	9.6	7.3	6.9	6.8	6.5	6.2
	(In millions of U.S. dollars, unless otherwise specified)						
Overall balance of payments deficit/surplus	−27.3	30.4	42.9	−20.6	−34.9	−25.9	−12.3
Contribution to the official external reserves of the BEAC	85.4	111.4	183.9	187.4	211.0	216.2	215.9
Nominal GDP	1,030	830	1,082	1,207	1,312	1,432	1,550
Nominal GDP (in billions of CFAF)	291.7	460.9	540.0	622.0	687.9	757.7	826.1
CFAF per US$ (period average)	283.2	555.2	499.1	515.5	524.3	529.1	532.9
CFAF per US$ (end of period)	294.8	534.6	490.0	515.5	524.3	529.1	532.9
Population (midyear, in millions)	6.1	6.2	6.4	6.5	6.7	6.8	7.0

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

1/ Consolidated operations of the Treasury, the CAA, and the public investment program.
2/ Changes as percent of broad money stock at beginning of period.
3/ Defined as the Treasury.
4/ For 1994 onward, including correction for currency notes not yet sorted at the BEAC national agency.
5/ Ratio of GDP to average broad money.
6/ For 1996, data is at end−June.
7/ Excluding grants
8/ Including arrears; and the Fund
9/ Scheduled debt service in percent of exports of goods and nonfactor services.

Table 3. Chad: Supply and Use of Resources at Current Prices, 1993–99

	1993	1994	1995	1996	1997 Program	1998	1999 Proj.
				(In billions of CFA francs)			
Gross domestic product	291.7	460.9	540.0	622.0	687.9	757.7	826.1
Domestic demand	357.9	536.5	607.5	712.5	777.9	846.7	911.9
Consumption	320.7	462.8	527.2	613.6	665.0	719.7	770.7
Central government	58.7	65.7	67.7	76.6	72.4	75.9	79.4
Private sector	262.0	397.0	459.5	537.0	592.6	643.8	691.3
Gross investment	37.3	73.7	80.3	98.9	112.9	127.0	141.2
Central government	29.6	59.2	65.6	74.7	82.5	90.2	96.5
Private sector	7.6	14.4	14.7	24.2	30.4	36.8	44.7
Resource gap	−66.3	−75.6	−67.5	−90.5	−90.1	−89.0	−85.8
Exports of goods and nonfactor services	55.2	102.4	139.4	141.6	165.2	191.9	213.5
Goods	43.0	83.2	115.8	117.4	138.9	162.8	180.1
Nonfactor services	12.2	19.2	23.5	24.3	26.3	29.1	33.4
Imports of goods and nonfactor services	−121.5	−178.0	−206.9	−232.1	−255.2	−280.9	−299.3
Goods	−58.1	−97.6	−114.1	−129.2	−142.7	−158.6	−169.1
Nonfactor services	−63.4	−80.4	−92.8	−102.9	−112.6	−122.3	−130.1
Gross domestic savings	−29.0	−1.9	12.8	8.4	22.9	38.0	55.4
Private unrequited transfers	1.7	5.6	7.2	6.7	6.5	6.3	6.6
Current public transfers	17.6	34.3	33.2	25.9	16.0	16.4	16.8
Net factor income from abroad	−6.0	−16.3	−19.0	−22.1	−24.3	−26.1	−27.5
Gross national savings	−15.7	21.7	34.2	19.0	21.0	34.7	51.3
Central government	−19.0	−7.1	3.1	3.6	5.7	14.2	22.7
Private sector	3.4	28.8	31.1	15.3	15.3	20.5	28.6
Saving–investment balance	−52.9	−52.0	−46.1	−79.9	−92.0	−92.3	−89.9
Central government	−48.7	−66.4	−62.5	−71.0	−76.9	−76.0	−73.8
Private sector	−4.3	14.4	16.4	−8.9	−15.1	−16.3	−16.1
Gross national product	285.7	444.6	521.0	599.9	663.6	731.6	798.6
National disposable income	305.0	484.4	561.4	632.6	686.0	754.3	822.0
				(In percent of GDP)			
Gross domestic product	100.0	100.0	100.0	100.0	100.0	100.0	100.0
Domestic demand	122.7	116.4	112.5	114.6	113.1	111.7	110.4
Consumption	109.9	100.4	97.6	98.7	96.7	95.0	93.3
Central government	20.1	14.3	12.5	12.3	10.5	10.0	9.6
Private sector	89.8	86.2	85.1	86.3	86.1	85.0	83.7
Gross Investment	12.8	16.0	14.9	15.9	16.4	16.8	17.1
Central government	10.2	12.9	12.2	12.0	12.0	11.9	11.7
Private sector	2.6	3.1	2.7	3.9	4.4	4.9	5.4
Resource gap	−22.7	−16.4	−12.5	−14.6	−13.1	−11.7	−10.4
Exports of goods and nonfactor services	18.9	22.2	25.8	22.8	24.0	25.3	25.8
Goods	14.7	18.1	21.4	18.9	20.2	21.5	21.8
Nonfactor services	4.2	4.2	4.4	3.9	3.8	3.8	4.0
Imports of goods and nonfactor services	−41.6	−38.6	−38.3	−37.3	−37.1	−37.1	−36.2
Goods	−19.9	−21.2	−21.1	−20.8	−20.7	−20.9	−20.5
Nonfactor services	−21.7	−17.4	−17.2	−16.5	−16.4	−16.1	−15.8
Gross domestic savings	−9.9	−0.4	2.4	1.3	3.3	5.0	6.7
Private unrequited transfers	0.6	1.2	1.3	1.1	0.9	0.8	0.8
Current public transfers	6.0	7.4	6.2	4.2	2.3	2.2	2.0
Net factor income from abroad	−2.1	−3.5	−3.5	−3.5	−3.5	−3.4	−3.3
Gross national savings	−5.4	4.7	6.3	3.0	3.0	4.6	6.2
Central government	−6.5	−1.6	0.6	0.6	0.8	1.9	2.7
Private sector	1.2	6.3	5.8	2.5	2.2	2.7	3.5
Saving–investment balance	−18.1	−11.3	−8.5	−12.8	−13.4	−12.2	−10.9
Central government	−16.7	−14.4	−11.6	−11.4	−11.2	−10.0	−8.9
Private sector	−1.5	3.1	3.0	−1.4	−2.2	−2.2	−1.9
Gross national product	97.9	96.5	96.5	96.5	96.5	96.6	96.7
National disposable income	104.6	105.1	104.0	101.7	99.7	99.6	99.5

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

Table 4. Chad: Consolidated Government Operations, 1995–99

	1995	1996 March Prog.	1996 March Act	1996 June Prog.	1996 June Act	1996 Sept. Program	1996 Dec Program	1997 March Program	1997 June Program	1997 Dec. Program	1998 Prog.	1999 Proj.
	(In billions of CFA francs)											
Total revenue and grants	84.0	18.8	13.9	44.4	45.2	67.1	105.1	18.5	51.8	117.0	131.7	145.9
Total revenue	44.8	14.9	9.6	30.9	30.1	44.5	62.0	13.8	35.5	70.5	82.3	94.6
Tax revenue	39.7	13.6	9.4	27.9	27.5	40.0	56.1	12.9	32.8	64.3	75.2	86.3
Income tax	17.4	7.1	4.1	13.3	8.3	13.1	20.7	5.1	10.4	23.2	26.3	29.5
Tax on goods and services	6.6	2.4	1.8	5.5	6.1	10.1	12.9	3.0	7.4	15.2	18.7	22.1
Of which: petroleum taxes	(2.0)	(0.9)	(0.6)	(2.0)	(1.6)	(2.9)	(3.4)	(0.9)	(2.2)	(4.8)	(6.4)	(8.1)
Tax on international trade	12.2	3.1	3.4	7.0	8.9	11.7	15.7	4.6	10.2	18.0	21.2	24.2
Other taxes	3.5	0.9	0.1	2.1	4.1	5.2	6.9	0.1	4.7	7.9	9.1	10.5
Nontax revenue	5.1	1.3	0.2	3.0	2.6	4.4	5.9	1.0	2.8	6.2	7.1	8.2
Total grants	39.2	3.9	4.3	13.5	15.1	22.6	43.1	4.7	16.3	46.5	49.3	51.3
Total expenditure	130.3	21.6	20.8	60.8	61.4	91.3	149.0	26.5	64.7	153.4	164.6	174.8
Current expenditure	64.7	14.7	13.5	36.4	35.6	51.3	74.4	17.5	35.0	70.9	74.4	78.3
Primary current expenditure	56.9	12.5	11.4	29.0	29.0	41.0	57.7	15.4	30.8	62.6	65.7	69.1
Wages and salaries	30.1	7.7	7.4	15.5	15.2	22.2	30.0	7.6	15.2	30.5	31.7	33.0
Materials and supplies	11.9	1.4	0.9	6.5	6.5	9.4	13.1	4.3	8.5	17.0	18.7	20.6
Transfers	5.0	1.3	0.3	2.5	2.3	3.3	5.5	1.3	2.6	6.0	6.2	6.5
Defense	10.0	2.1	2.8	4.5	5.0	6.0	9.0	2.3	4.5	9.0	9.0	9.0
Salaries	7.1	1.8	2.5	3.5	4.3	5.0	7.2	1.8	3.5	7.0	7.0	7.0
Materials and supplies	2.9	0.3	0.3	1.0	0.7	1.0	1.8	0.5	1.0	2.0	2.0	2.0
Demobilization	0.5	0.3	--	3.0	--	2.0	5.0	--	--	--	--	--
Elections	--	0.2	0.6	1.0	2.9	2.9	4.0	--	--	--	--	--
Other	--	--	--	--	0.1	0.1	0.1	--	--	--	--	--
Interest	7.3	1.8	1.5	3.4	3.6	5.2	7.6	2.1	4.2	8.3	8.7	9.2
domestic	1.0	0.3	0.3	0.5	0.7	1.0	1.1	0.4	0.6	1.2	1.2	1.2
external	6.3	1.6	1.3	2.9	2.9	4.2	6.5	1.6	3.6	7.1	7.5	8.0
Current primary balance (−=deficit)	−12.1	2.4	−1.9	1.9	1.1	3.4	4.3	−1.6	4.7	7.9	16.7	25.5
Current balance (deficit=−)	−19.8	0.2	−4.0	−5.5	−5.6	−6.9	−12.4	−3.7	0.5	−0.4	8.0	16.3
Investment expenditure	65.6	6.9	7.3	24.3	25.8	40.0	74.7	9.0	29.6	82.5	90.2	96.5
Domestically financed	0.3	0.1	--	0.5	0.4	1.9	2.9	1.3	2.5	5.0	8.0	11.0
Foreign-financed	65.3	6.8	7.3	23.8	25.4	38.1	71.8	7.8	27.1	77.5	82.2	85.5
Restructuring of banking system	--	--	--	--	--	--	--	--	--	--	--	--
Overall deficit (commitment basis)												
Excluding grants and foreign financed investment	−20.2	0.1	−4.0	−6.0	−6.0	−8.7	−15.3	−4.9	−2.0	−5.4	−0.0	5.3
Excluding grants	−85.5	−6.7	−11.2	−29.9	−31.4	−46.8	−87.1	−12.7	−29.2	−83.0	−82.2	−80.2
Including grants	−46.3	−2.8	−6.9	−16.3	−16.3	−24.2	−44.0	−8.0	−12.9	−36.4	−32.9	−28.9
Change in payments arrears	6.4	−13.0	−9.9	−22.5	−12.3	−16.0	−23.7	−8.0	−13.6	−20.0	−9.5	−5.5
External (interest)	−3.7	−2.9	−2.5	−5.6	−4.0	−6.6	−7.1	--	--	--	--	--
Domestic	10.2	−10.2	−7.4	−16.9	−8.3	−9.4	−16.7	−8.0	−13.6	−20.0	−9.5	−5.5
Overall deficit (cash basis, excluding grants)	−79.0	−19.7	−21.1	−52.3	−43.7	−62.8	−110.8	−20.7	−42.8	−103.0	−91.7	−85.7
Overall deficit (cash basis, including grants)	−39.8	−15.8	−16.8	−38.8	−28.6	−40.2	−67.7	−16.0	−26.5	−56.4	−42.4	−34.4
Financing	25.4	2.8	3.8	−4.6	13.4	13.4	24.8	2.4	6.3	20.0	20.1	24.6
External (net)	32.2	−2.4	2.8	−7.0	7.3	2.5	11.2	2.4	8.8	26.9	26.6	26.2
Loans	26.1	2.9	2.9	10.3	10.3	15.5	28.7	3.1	10.9	31.0	32.9	34.2
Project loans	26.1	2.9	2.9	10.3	10.3	15.5	28.7	3.1	10.9	31.0	32.9	34.2
Program loans	--	...	...	...	...	...	...	...	...	...	...	...
Amortization due	−5.8	−1.4	−1.4	−2.0	−2.4	−3.6	−6.0	−1.0	−2.7	−6.2	−7.7	−8.0
Change in external arrears (principal)	−10.3	−3.9	1.0	−15.3	−3.0	−12.0	−14.5	--	--	--	--	--
Debt relief/rescheduling obtained	22.2	--	0.3	--	2.4	2.7	2.9	0.3	0.6	2.1	1.5	--
Domestic (net)	−6.8	5.2	1.0	2.4	6.1	10.9	13.6	0.1	−2.5	−6.9	−6.5	−1.6
Banking system	−6.1	5.2	1.0	1.4	6.1	10.6	12.5	−0.2	−3.0	−7.9	−6.2	−2.6
Central bank	−5.9	5.2	4.8	1.4	15.2	19.7	21.6	−0.2	−3.0	−7.9	−6.2	−2.6
Commercial banks	−0.1	--	−3.8	--	−9.1	−9.1	−9.1	--	--	--	--	--
Nonbank sector	−0.9	--	--	--	−0.2	−0.2	−0.2	--	--	--	−1.3	--
Sale of assets	0.2	--	--	1.0	0.2	0.6	1.4	0.3	0.5	1.0	1.0	1.0
Financing gap	−14.5	−13.0	−13.0	−43.4	−15.2	−26.8	−42.9	−13.6	−20.2	−36.4	−22.3	−9.9
Exceptional financing	14.5	13.0	13.0	15.0	15.2	25.2	25.2	10.2	10.2	10.2	10.3	--
World Bank	--	13.0	13.0	15.0	15.0	15.0	15.0	10.2	10.2	10.2	10.3	--
European Union	3.1	--	--	--	--	4.0	4.0	--	--	--	--	--
Bilateral donors	11.4	--	--	--	0.2	6.2	6.2	--	--	--	--	--
Additional financing requirements	--	--	--	−28.4	--	−1.6	−17.7	−3.4	−10.0	−26.2	−12.0	−9.9
Possible Fund disbursement	--	--	--	6.1	--	--	6.2	--	6.2	12.5	6.3	--
Residual financing gap	--	--	--	−22.3	--	−1.6	−11.5	−3.4	−3.8	−13.8	−5.7	−9.9
Of which: possible debt relief	(--)	(--)	(--)	(7.3)	(--)	(1.6)	(3.6)	(--)	(--)	(0.3)	(--)	(--)
Memorandum items:	(In percent of GDP, unless otherwise specified)											
Total revenue	8.3	...	...	...	...	...	10.0	2.0	4.7	10.2	10.9	11.4
Current primary balance (−=deficit)	−2.2	...	...	...	...	...	0.7	−0.2	0.6	1.1	2.2	3.1
Current balance (deficit=−)	−3.7	...	...	...	...	...	−2.0	−0.5	0.1	−0.1	1.1	2.0
Nonmilitary wage bill as a ratio to total revenue	67.2	51.9	77.9	50.0	50.4	50.0	48.4	55.2	42.9	43.3	38.5	34.9
Nonmilitary wage bill as a ratio to total current expenditure	46.5	52.7	55.0	42.4	42.5	43.3	40.3	43.6	43.5	43.0	42.6	42.1

Sources: Data provided by the Chadian authorities; and staff estimates and projections.

1/ The lower apparent size of World Bank lending reflects the posponement of the first SAC, not a reduction in the intended size of the lending program.
2/ Bilateral and multilateral assistance has been identified that would fill the gap through June 1996.

Table 5. Chad: Balance of Payments, 1995–2005

	1995 Est.	1996	1997 Program	1998	1999	2000	2001	2002 Projections	2003	2004	2005
						(In billions of CFA francs)					
Goods and services	−67.5	−90.5	−90.1	−89.0	−85.8	−85.5	−96.8	−93.9	−89.4	−88.3	−85.8
Goods	1.7	−11.9	−3.8	4.2	11.0	13.3	17.0	19.4	22.2	25.0	28.4
Exports fob	115.8	117.4	138.9	162.8	180.1	194.4	209.8	224.4	239.9	256.5	274.2
Of which: cotton	(61.0)	(56.1)	(69.1)	(83.6)	(93.1)	(99.4)	(106.0)	(111.5)	(117.3)	(123.3)	(129.7)
Imports fob	−114.1	−129.2	−142.7	−158.6	−169.1	−181.0	−192.8	−205.0	−217.7	−231.5	−245.8
Services	−69.2	−78.6	−86.3	−93.2	−96.8	−98.8	−113.7	−113.3	−111.6	−113.3	−114.2
Credit	23.5	24.3	26.3	29.1	33.4	36.4	41.4	50.7	61.7	71.1	81.8
Debit	−92.8	−102.9	−112.6	−122.3	−130.1	−135.2	−155.1	−164.0	−173.3	−184.4	−196.0
Income	−19.0	−22.1	−24.3	−26.1	−27.5	−31.5	−30.3	−27.3	−27.8	−28.7	−29.1
Of which: public sector interest	(−6.3)	(−6.5)	(−7.1)	(−7.1)	(−7.4)	(−7.8)	(−8.3)	(−8.8)	(−9.3)	(−10.0)	(−10.7)
Current transfers	40.4	32.7	22.4	22.8	23.4	25.0	26.8	28.6	30.6	33.2	37.0
General government (net)	33.2	25.9	16.0	16.4	16.8	17.9	19.0	20.3	21.7	20.4	23.1
Other sectors (net)	7.2	6.7	6.5	6.3	6.6	7.2	7.7	8.3	8.9	12.8	13.9
Current account balance	−46.1	−79.9	−92.0	−92.3	−89.9	−91.9	−100.3	−92.6	−86.7	−83.8	−77.9
Excluding official transfers	−79.3	−105.8	−107.9	−108.8	−106.7	−109.8	−119.3	−112.9	−108.3	−104.2	−101.0
Capital and financial account	46.1	68.4	78.2	86.6	80.0	84.0	94.2	88.6	83.6	81.8	77.9
Capital account	48.1	44.2	47.6	50.0	51.3	41.0	31.0	21.0	20.0	20.0	20.0
Capital transfers	48.1	44.2	47.6	50.0	51.3	41.0	31.0	21.0	20.0	20.0	20.0
Of which: debt forgiveness	(8.9)	(1.1)	(1.0)	(0.7)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)
Financial account	−7.5	24.2	30.6	36.6	28.7	43.0	63.2	67.6	63.6	61.8	57.9
Direct investment	4.6	3.2	3.3	3.8	4.6	6.7	7.6	8.4	9.4	11.4	11.8
Portfolio investment	−−	−−	−−	−−	−−	−−	−−	−−	−−	−−	−−
Other investment	24.8	27.5	41.4	36.6	24.8	54.8	54.4	52.6	52.1	54.9	56.1
Public sector drawings	45.7	57.9	54.7	50.2	34.2	61.6	62.5	63.3	64.1	64.9	65.8
Of which: IMF purchases	(6.3)	(12.3)	(12.5)	(6.3)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)
Debt rescheduling (agreed)	(13.3)	(1.8)	(1.0)	(0.7)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)
Public sector amortization	−8.6	−9.2	−12.4	−13.8	−10.8	−9.1	−10.7	−13.5	−15.1	−14.5	−14.4
Of which: IMF repurchases	(−2.8)	(−3.2)	(−6.2)	(−6.3)	(−2.6)	(−0.5)	(−1.9)	(−4.5)	(−7.1)	(−7.7)	(−7.7)
Net change in arrears	−14.1	−21.5	−−	−−	−−	−−	−−	−−	−−	−−	−−
Change in liabilities of the BEAC	3.7	−−	−−	−−	−−	−−	−−	−−	−−	−−	−−
Private sector (net)	−2.1	0.2	−1.0	0.2	1.4	2.3	2.6	2.8	3.1	4.5	4.7
Of which: deposit money banks	(−2.5)	(−−)	(−0.5)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)
Reserve assets	−36.8	−6.5	−14.0	−3.8	−0.7	−18.5	1.3	6.6	2.1	−4.5	−10.1
Errors and omissions	5.4	−−	−−	−−	−−	−−	−−	−−	−−	−−	−−
Financing gap (after IMF disbursments)	−−	11.5	13.8	5.7	9.9	7.9	6.1	4.0	3.1	2.0	−−
Of which: possible debt relief	(−−)	3.6	0.3	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)
Memorandum items											
External financing	82.2	90.2	109.8	98.4	87.2.	101.9	90.8	79.3	79.2	80.1	79.1
Project financing (net)	59.5	65.8	71.3	74.6	77.3	94.0	84.7	75.3	76.1	78.1	79.1
Project loans	26.1	28.7	31.0	32.9	34.2	61.6	62.5	63.3	64.1	64.9	65.8
Project grants	39.2	43.1	46.5	49.3	51.3	41.0	31.0	21.0	20.0	20.0	20.0
Amortization	−5.8	−6.0	−6.2	−7.6	−8.1	−8.6	−8.8	−9.0	−8.0	−6.8	−6.7
Debt relief already obtained	22.2	2.9	2.1	1.5	−−	−−	−−	−−	−−	−−	−−
Exceptional financing	14.5	42.9	36.4	22.3	9.9	7.9	6.1	4.0	3.1	2.0	−−
Program loans already obtained	−−	15.0	10.2	10.3	−−	−−	−−	−−	−−	−−	−−
Possible IMF disbursement	−−	6.2	12.5	6.3	−−	−−	−−	−−	−−	−−	−−
Program grants already obtained	14.5	10.2	−−	−−	−−	−−	−−	−−	−−	−−	−−
Residual financing gap	−−	11.5	13.8	5.7	9.9	7.9	6.1	4.0	3.1	2.0	−−
Of which: possible debt relief	−−	3.6	0.3	−−	−−	−−	−−	−−	−−	−−	−−
Net change in external arrears (+ = increase)	−14.1	−21.5	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)	(−−)
						(In percent of GDP, unless otherwise specified)					
Trade balance (deficit −)	0.3	−1.9	−0.5	0.6	1.3	1.5	1.7	1.8	2.0	2.0	2.1
Current account (deficit −)	−8.5	−12.8	−13.4	−12.2	−10.9	−10.2	−10.3	−8.8	−7.6	−6.8	−5.9
Excluding official transfers	−14.7	−17.0	−15.7	−14.4	−12.9	−12.2	−12.3	−10.7	−9.5	−8.5	−7.6
Public external debt 1/	74.2	67.7	67.4	66.1	63.4	64.6	65.3	65.4	65.0	64.2	63.3
(in billions of CFA francs)	400.9	420.9	463.4	500.9	523.8	579.4	634.3	687.2	738.2	789.2	841.0
Debt service 2/	2.1	1.9	1.8	1.9	1.8	1.8	1.7	1.7	1.5	1.3	1.3
Debt service ratio 2/ 3/	8.2	8.3	7.6	7.3	7.0	6.9	6.6	6.3	5.6	5.0	4.8
Gross official reserves (in billions of CFA francs)	90.1	96.6	110.6	114.4	115.1	133.6	132.3	125.7	123.6	128.2	138.3

Sources: BEAC; and staff estimates and projections.

1/ Stock of the direct and guaranteed public foreign debt (including the Fund).
2/ Excluding the Fund.
3/ In percent of exports of goods and nonfactor services.

Table 6. Chad: Monetary Survey, 1993–97

	1993 1/	1994	1995	1996 March Prog.	1996 March Act.	1996 June Prog.	1996 June Act.	1996 Sept. Program	1996 Dec. Program	1997 March Program	1997 June Program	1997 Dec. Program
	(In billions of CFA francs)											
Net foreign assets	−1.6	30.2	62.3	56.1	84.9	57.6	78.5	73.5	65.3	68.5	70.9	73.6
Central bank 2/	8.5	36.3	65.9	59.6	83.5	61.1	76.4	71.4	63.3	66.4	68.4	71.0
Commercial banks	−4.5	−0.4	2.0	2.0	1.4	2.0	2.1	2.1	2.1	2.1	2.6	2.6
Postal debt	−5.6	−5.6	−5.6	−5.6	--	−5.6	--	--	--	--	--	--
Medium– and long–term liabilities	−0.4	−0.7	−0.1	−0.1	−0.1	−0.1	−0.1	−0.1	−0.1	−0.1	−0.1	−0.1
Net domestic assets	49.6	49.8	45.6	68.7	37.3	64.7	47.9	48.6	57.2	69.2	63.0	62.7
Domestic credit	72.2	79.2	71.7	94.9	66.0	90.8	76.3	77.0	85.6	97.7	91.4	91.1
Claims on the government (net)	44.1	47.9	36.3	48.6	22.8	53.1	38.7	43.2	51.3	51.1	54.5	55.8
Treasury and CAA (net)	44.0	43.3	39.6	46.3	31.1	50.8	45.8	50.2	58.3	58.1	61.5	62.9
Central bank	41.4	44.9	39.1	47.6	43.9	52.1	54.4	55.2	59.8	59.6	63.0	64.4
Commercial banks	2.6	−1.6	0.5	−1.3	−12.8	−1.3	−8.6	−5.0	−1.5	−1.5	−1.5	−1.5
Others	0.1	4.6	−3.4	2.3	−8.4	2.3	−7.0	−7.0	−7.0	−7.0	−7.0	−7.0
Credit to the economy	28.1	31.3	35.4	46.3	43.2	37.8	37.6	33.8	34.3	46.6	36.9	35.3
Of which: crop credit	(5.1)	(6.0)	(4.9)	(16.4)	(15.4)	(10.7)	(10.0)	(3.5)	(5.0)	(16.3)	(6.8)	--
Other items (net)	−22.5	−29.5	−26.2	−26.2	−28.8	−26.2	−28.4	−28.4	−28.4	−28.4	−28.4	−28.4
Of which: revaluation account	(−9.8)	(−9.8)	(−9.8)	(−9.8)	(−9.8)	(−9.8)	(−9.8)	(−9.8)	(−9.8)	(−9.8)	(−9.8)	(−9.8)
Money and quasi–money	47.7	79.3	107.8	124.7	122.1	122.1	126.3	122.0	122.4	137.6	133.9	136.2
Currency outside banks 2/	35.8	56.3	76.6	93.1	92.3	87.9	94.9	89.0	89.4	99.1	95.0	95.4
Demand deposits	9.6	20.1	23.4	22.9	24.3	23.3	26.8	24.4	24.5	28.2	28.1	29.3
Time and savings deposits	2.2	2.9	7.9	8.7	5.5	10.9	4.5	8.5	8.6	10.3	10.7	11.6
	(Changes in percent of beginning–of–period money stock, unless otherwise specified)											
Net foreign assets	−24.3	66.8	40.5	−5.8	21.0	−4.4	15.0	10.4	2.8	2.5	4.6	6.7
Net domestic assets	1.6	0.2	−5.3	21.5	−7.7	17.7	2.1	2.8	10.8	9.8	4.8	4.5
Domestic credit	11.5	14.8	−9.5	21.5	−5.3	17.7	4.2	4.9	12.9	9.8	4.8	4.5
Claims on the government (net)	21.2	8.1	−14.7	11.4	−12.5	15.6	2.3	6.4	13.9	−0.2	2.6	3.7
Treasury and CAA (net)	22.6	−1.4	−4.6	6.1	−7.9	10.3	5.7	9.8	17.3	−0.2	2.6	3.7
Credit to the economy	−9.6	6.7	5.3	10.1	7.2	2.1	2.0	−1.5	−1.0	10.0	2.1	0.8
Credit to the economy (annual change)	−17.2	11.4	13.3	7.1	−0.1	5.7	8.5	9.5	−3.1	7.9	−1.6	2.7
Money and quasi–money 3/	−21.6	66.3	36.0	15.7	13.3	13.3	17.1	13.2	13.6	12.4	9.3	11.3
Currency outside banks	−18.6	42.9	25.6	15.4	14.6	10.5	17.0	11.6	11.9	7.9	4.6	4.9
Demand deposits	−0.8	22.0	4.1	−0.4	0.9	−0.0	3.2	1.0	1.1	3.0	3.0	3.9
Time and savings deposits	−2.2	1.4	6.3	0.7	−2.2	2.8	−3.1	0.6	0.6	1.4	1.7	2.5

Sources: Data provided by the BEAC; and staff estimates and projections.

1/ After inclusion of valuation effects of the devaluation (backdated to December 1993)
2/ Beginning in 1994, the central bank's foreign assets and currency outside banks are adjusted upward by including 50 percent of the amount of unsorted bills at the national BEAC agency.
3/ Changes in percentage. For the quarterly data, changes are cumulative.

Table 7. Chad: Summary Accounts of the Central Bank and the Commercial Banks, 1993–97

(In billions of CFA francs)

	1993 1/	1994	1995	1996						1997		
				March		June		Sept.	Dec.	March	June	Dec.
				Prog.	Act.	Prog.	Act.	Program		Program		
Central bank (BEAC)												
Net foreign assets	8.55	36.27	65.88	59.61	83.53	61.13	76.43	71.43	63.28	66.38	68.36	71.04
Assets	25.18	59.54	90.11	83.84	108.69	89.88	107.41	102.41	98.83	101.93	107.54	112.90
Liabilities	−16.64	−23.27	−24.23	−24.23	−25.16	−28.76	−30.98	−30.98	−35.54	−35.54	−39.19	−41.86
Net domestic assets	42.00	40.10	35.72	55.36	39.59	52.88	47.64	48.53	53.59	56.89	56.83	58.18
Net credit to government	41.42	44.87	38.92	47.56	43.74	52.09	54.04	54.93	59.50	59.30	62.74	64.09
Claims	41.96	48.48	49.71	49.71	49.93	54.23	56.38	57.27	61.83	61.63	65.07	66.42
Deposits	−0.54	−3.61	−10.78	−2.15	−6.19	−2.15	−2.34	−2.34	−2.34	−2.34	−2.34	−2.34
Claims on commercial banks	5.88	0.50	1.00	12.00	0.40	5.00	--	--	0.50	4.00	0.50	0.50
Other items, net	−5.31	−5.26	−4.20	−4.20	−4.55	−4.20	−6.41	−6.41	−6.41	−6.41	−6.41	−6.41
Revaluation account	−12.29	−12.29	−12.29	−12.29	−12.29	−12.29	−12.29	−12.29	−12.29	−12.29	−12.29	−12.29
Base money	38.25	64.08	89.31	102.68	110.84	101.72	111.78	107.67	104.59	110.99	112.90	116.94
Currency outside banks	35.84	56.30	76.56	93.11	92.31	87.92	94.92	89.03	89.38	99.07	95.04	95.37
Banks' deposits and cash holdings	1.98	6.40	10.08	6.69	17.14	9.59	14.97	16.75	13.32	10.04	15.99	19.69
Other deposits 3/	0.44	1.38	2.68	2.88	1.38	4.21	1.88	1.88	1.88	1.88	1.88	1.88
Commercial banks												
Net foreign assets	−4.51	−0.42	2.04	2.04	1.39	2.04	2.07	2.07	2.07	2.07	2.57	2.57
Assets	5.04	5.93	4.86	4.86	4.77	4.86	6.15	6.15	6.15	6.15	6.65	6.65
Liabilities	−9.55	−6.35	−2.82	−2.82	−3.38	−2.82	−4.08	−4.08	−4.08	−4.08	−4.08	−4.08
Net domestic assets	22.45	19.06	19.72	34.26	12.66	25.70	14.68	14.50	18.56	30.81	21.15	19.50
Net credit to government	−2.96	−2.53	−8.25	−4.61	−20.94	−4.61	−15.33	−11.73	−8.25	−8.25	−8.25	−8.25
Claims	3.57	2.38	2.59	2.03	1.77	2.03	1.73	1.73	1.73	1.73	1.73	1.73
Deposits	−6.53	−4.91	−10.84	−6.64	−22.71	−6.64	−17.06	−13.46	−9.98	−9.98	−9.98	−9.98
Credit to the private sector	28.08	31.28	35.44	46.31	43.21	37.76	37.56	33.77	34.35	46.61	36.94	35.29
Of which: crop credit	5.15	5.98	4.90	16.44	15.37	10.68	10.01	3.50	5.00	16.28	6.76	5.00
Other items, net	−2.68	−9.69	−7.47	−7.44	−9.61	−7.44	−7.55	−7.55	−7.55	−7.55	−7.55	−7.55
Reserves	1.98	6.40	10.08	6.69	17.14	9.59	14.97	16.75	13.32	10.04	15.99	19.69
Central bank liabilities	−5.88	−0.50	−1.00	−12.00	−0.40	−5.00	--	--	−0.50	−4.00	−0.50	−0.50
Medium- and long-term liabilities	−0.41	−0.73	−0.09	−0.09	−0.09	−0.09	−0.09	−0.09	−0.09	−0.09	−0.09	−0.09
Revaluation account	−2.46	−2.46	−2.46	−2.46	−2.46	−2.46	−2.46	−2.46	−2.46	−2.46	−2.46	−2.46
Private sector deposits	11.15	21.35	28.29	28.43	28.24	29.79	29.17	30.76	30.89	36.36	36.65	38.71

Sources: BEAC; and staff estimates.

1/ In December 1994 and beyond, central bank's accounts include 50 percent of the amount of currency notes not yet sorted at the national BEAC agency.

Table 8. Chad: Indicators of Fund Credit and Debt Servicing, 1994–2005

	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005
							Projections					
						(In percent)						
Oustanding Fund credit/Quota 1/	68.8	79.9	109.5	129.8	129.8	121.4	120.0	114.0	100.0	78.0	54.0	30.0
Oustanding Fund credit/GDP 1/	4.9	4.6	5.4	5.9	5.4	4.7	4.3	3.8	3.1	2.2	1.4	0.7
Oustanding Fund credit/Exports of goods and services 1/	22.1	17.9	23.8	24.5	21.2	18.0	16.6	14.6	11.7	8.3	5.3	2.7
Debt service to the Fund/Exports of goods and services 2/	1.8	2.5	2.8	4.2	3.6	1.5	0.4	1.0	1.8	2.5	2.5	2.3
Debt service to the Fund/Total debt service	11.9	23.3	25.1	35.5	33.0	17.2	5.5	12.0	20.8	27.1	27.3	25.9
Debt service to the Fund/ Gross official reserves	3.1	3.8	4.1	6.2	6.0	2.7	0.7	1.8	4.0	6.1	6.3	5.8
Total debt service ratio 2/	15.2	10.7	11.0	11.8	10.9	8.6	7.5	8.0	8.7	9.2	9.1	8.8
Memorandum items:						(In millions of SDRs)						
Exports of goods and nonfactor services	128.8	184.1	189.7	218.9	252.2	278.2	298.3	322.3	353.0	387.1	420.4	456.8
Total Fund credit outstanding	28.4	33.0	45.2	53.6	53.6	50.2	49.5	47.1	41.3	32.2	22.3	12.4
Of which: net use of Fund credit	(8.9)	(4.6)	(12.2)	(8.4)	(−−)	(−3.4)	(−0.6)	(−2.5)	(−5.8)	(−9.1)	(−9.9)	(−9.9)
Total debt service	−19.6	−19.6	−21.0	−25.8	−27.6	−23.9	−22.4	−25.7	−30.6	−35.6	−38.1	−40.0
Of which: IMF	(−2.3)	(−4.6)	(−5.3)	(−9.2)	(−9.1)	(−4.1)	(−1.2)	(−3.1)	(−6.4)	(−9.6)	(−10.4)	(−10.4)
Gross official reserves	74.9	119.0	129.4	146.6	150.3	150.0	172.7	169.8	161.3	158.6	164.5	177.4
Nominal GDP	579.7	713.2	833.3	911.7	995.8	1076.6	1159.8	1246.3	1347.9	1457.8	1576.6	1705.1
Quota	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3	41.3

Sources: IMF, Treasurer's Department; and staff estimates and projections.

1/ Oustanding Fund credit includes SAF/ESAF loans and outstanding purchases.
2/ Debt service in percent of exports of goods and nonfactor services.

Table 9. Chad: Social Indicators, 1995

Population	6.5 million
Growth rate of population	2.5 percent per year
Life expectancy	47.9 years
Fertility rate	5.8 births per woman
Infant mortality	120 per thousand
Under five mortality	206 per thousand
Child malnutrition (under five)	35 percent of age group
Access to safe water	29 percent of population
Population per physician	29,412 persons
Population per nurse	3,396 persons
Population per hospital bed	1,345 persons
Immunization (IDPT)	18 percent
Primary school enrollment	65 percent
Female	41 percent
Male	89 percent
Secondary school enrollment	7 percent of age group
Illiteracy rate (age 15+)	70 percent
Newspaper circulation	0.3 per thousand
GNP per capita	US$190

Source: World Bank, Social Indicators of Development, May 1995.

Table 10. Chad: Sensitivity Analysis of Key Indicators of Official External Indebtedness, 1996–2015

(In percent of exports of goods and nonfactor services, unless otherwise indicated)

	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015
Baseline Scenario																				
Debt outstanding after debt relief	296.4	279.9	260.2	243.6	251.1	252.5	249.8	244.7	240.9	236.3	232.1	230.8	229.2	226.7	222.9	217.9	212.4	206.3	200.2	193.9
Debt service due after debt relief 1/	9.3	10.4	9.2	7.1	6.2	6.6	7.3	7.8	7.5	7.1	6.5	6.1	5.9	5.8	6.2	6.3	6.4	6.5	6.4	6.3
Net present value of debt stock after debt relief	143.1	134.9	124.7	116.1	122.7	124.0	122.9	120.3	118.2	115.7	114.1	114.2	114.3	113.9	112.8	111.0	108.8	106.3	103.7	100.9
Current account (in percent of GDP; deficit −) 2/	−17.0	−15.7	−14.4	−12.9	−12.2	−12.3	−10.7	−9.5	−8.5	−7.6	−6.9	−6.5	−6.2	−5.9	−5.7	−5.2	−4.9	−4.6	−4.3	−4.0
Cotton Scenario 3/																				
Debt outstanding after debt relief	296.4	322.3	319.4	314.6	330.1	347.3	358.1	362.1	366.0	366.6	366.9	372.7	379.4	384.9	389.1	391.3	392.5	392.3	391.5	389.5
Debt service due after debt relief 1/	9.3	11.7	10.8	8.4	7.5	8.1	9.0	9.6	9.3	8.9	8.3	7.9	7.9	8.1	8.7	9.1	9.4	9.8	9.9	9.9
Net present value of debt stock after debt relief	143.1	154.4	150.3	145.4	155.5	162.2	165.3	165.4	165.7	164.5	164.4	167.0	169.9	172.2	173.7	174.2	174.1	173.4	172.3	170.7
Current account (in percent of GDP; deficit −) 2/	−17.0	−18.4	−17.9	−16.7	−16.2	−16.3	−14.8	−13.7	−12.7	−11.8	−11.1	−10.7	−10.5	−10.2	−9.9	−9.4	−9.0	−8.7	−8.4	−8.0
Nonconcessional Terms Scenario 4/																				
Debt outstanding after debt relief	296.4	279.9	260.2	243.6	251.1	255.5	258.2	257.3	256.3	253.2	249.3	248.3	247.9	246.8	245.4	243.1	240.5	237.2	233.7	229.4
Debt service due after debt relief 1/	11.3	12.9	12.7	10.8	9.9	11.9	13.8	15.1	15.4	16.2	16.3	16.8	17.3	18.0	18.8	19.5	20.1	20.7	21.1	21.5
Net present value of debt stock after debt relief	9.5	11.5	11.0	9.3	8.8	11.0	13.1	14.8	15.4	16.2	16.3	16.8	17.3	18.0	18.8	19.5	20.1	20.7	21.1	21.5
Current account (in percent of GDP; deficit −) 2/	−17.1	−15.9	−14.8	−13.5	−12.9	−13.2	−11.8	−10.8	−9.9	−9.1	−8.4	−8.1	−7.9	−7.6	−7.4	−7.0	−6.7	−6.4	−6.1	−5.9
Oil Scenario 5/																				
Debt outstanding before debt relief	295.3	283.8	274.4	273.0	275.8	170.7	125.6	118.0	111.0	109.4	106.5	104.2	103.2	101.8	100.1	98.2	96.2	94.0	91.7	89.4
Debt service due after debt relief 1/	9.3	10.3	9.3	7.4	6.5	4.3	3.5	3.5	3.3	3.1	2.9	2.7	2.7	2.7	2.9	3.0	3.0	3.0	3.0	3.0
Net present value of debt stock after debt relief	142.5	137.5	133.5	133.7	137.7	85.6	62.9	59.1	55.4	54.5	53.2	52.3	52.1	51.7	51.2	50.5	49.7	48.7	47.8	46.7
Trade balance (in percent of GDP; deficit −)	−3.0	−6.4	−14.6	−5.2	−1.1	10.3	14.8	15.5	16.1	16.1	16.2	16.3	16.2	16.0	15.9	15.7	15.6	15.4	15.3	15.1

Source: Staff estimates and projections.

1/ Excluding the repayment of arrears in 1996.
2/ Excluding official transfers.
3/ Decrease by about 30 percent of cotton price to 58 cts/lb (average price in 1992–93) from 1997 onward.
4/ New financing is borrowed on nonconcessional terms.
5/ Main assumptions are outlined in the staff report.

Chad - Second Annual Arrangement Under
the Enhanced Structural Adjustment Facility

Attached hereto is a letter dated September 30, 1996 (the "Letter"), with the annexed memorandum on economic and financial policies of the Government of Chad (the "Memorandum"), from the Minister of Finance and Minister of Plan and Cooperation of Chad, requesting from the International Monetary Fund the second annual arrangement under the enhanced structural adjustment facility and setting forth the objectives and policies of the program to be supported by that arrangement.

In order to support these objectives and policies, the Fund grants the requested arrangement in accordance with the following provisions and subject to the Instrument to Establish the Enhanced Structural Adjustment Facility Trust, as amended:

1. Under the second annual arrangement:

(a) the first loan, in an amount equivalent to SDR 8.26 million, will be available on ----, 1996 at the request of Chad and

(b) the second loan, in an amount equivalent to SDR 8.26 million, will be available on ----, 1997 at the request of Chad subject to paragraph 2 below.

2. Chad will not request disbursement of the second loan specified in paragraph 1(b) above

(a) if the Managing Director finds that the data at the end of December 1996 indicate that

(i) the limit on the net domestic assets of the central bank, or

(ii) the limit on the net credit of the banking system to the government, or

(iii) the limit on domestic payments arrears, or

(iv) the limit on external payments arrears, or

(v) the limit on external loans contracted or guaranteed by the government on nonconcessional terms, or

(vi) the current primary balance, or

(vii) the government wage bill,

as described in paragraph 34 of the Memorandum and specified in Table 1 attached thereto, is not observed; or

(b) if Chad has not carried out its intention with respect to the structural performance criteria:

(i) concerning completion of provisional reports on the disengagement of the government from COTONTCHAD and from STEE as described in paragraphs 32(a) and 32(c) respectively of the Memorandum and specified in Table 1 attached thereto;

(ii) has accumulated any new external payments arrears; or

(c) if Chad

(i) has imposed or intensified restrictions on payments and transfers for current international transactions, or

(ii) has introduced or modified multiple currency practices, or

(iii) has concluded bilateral payments agreements that are inconsistent with Article VIII, or

(iv) has imposed or intensified import restrictions for balance of payments reasons, or

(d) until the Fund has determined that the midterm review of Chad's program referred to in paragraph 5 of the Letter and paragraph 25 of the Memorandum has been completed.

If the Managing Director finds that any of the performance clauses that have been established in or under this paragraph 2 have not been met, the second loan in specified in paragraph 1(b) above may be made available only after consultations have taken place between the Fund and Chad and understandings have been reached regarding the circumstances in which Chad may request that second loan.

3. Before approving the third annual arrangement, the Fund will appraise the progress of Chad in implementing the policies and reaching the objectives of the program supported by the second annual arrangement, taking into account primarily:

(a) the indicators referred to in paragraph 24 of the Memorandum and Table 1 attached thereto;

(b) imposition or intensification of restrictions on payments and transfers for current international transactions;

(c) introduction or modification of multiple currency practices;

(d) conclusion of bilateral payments agreements that are inconsistent with Article VIII; and

(e) imposition or intensification of import restrictions for balance of payments reasons.

4. In accordance with paragraph 3 of the Letter, Chad will provide the Fund with such information as the Fund requests in connection with the progress of Chad in implementing the policies and reaching the objectives supported by these arrangements.

5. In accordance with paragraph 4 of the Letter, during the period of the second annual arrangement, Chad will consult with the Managing Director on the adoption of any measures that may be appropriate at the initiative of the government or whenever the Managing Director requests such a consultation. Moreover, after the period of the second annual arrangement and while Chad has outstanding financial obligations to the Fund arising from loans under that arrangement, Chad will consult with the Fund from time to time, at the initiative of the government or whenever the Managing Director requests consultation on Chad's economic and financial policies. These consultations may include correspondence and visits of officials of the Fund to Chad or of representatives of Chad to the Fund.

September 30, 1996

Mr. Michel Camdessus
Managing Director
International Monetary Fund
700 19th Street, N.W.
Washington, D.C. 20431

Dear Mr. Camdessus:

1. On behalf of the Government of Chad, we have the honor to transmit to you the attached memorandum on economic and financial policies. It is based on the policy framework paper (PFP) for the 1996-99 period, which was prepared with assistance of the staffs of the International Monetary Fund and World Bank and which is being forwarded to you today under separate cover.

2. The memorandum on economic and financial policies briefly outlines the program which the Government of Chad intends to implement for the 1996-99 period, and describes in detail the objectives, policies, and measures relating to the program period from July 1, 1996 to June 30, 1997. In support of this program, Chad requests the approval of the second annual arrangement under the enhanced structural adjustment facility (ESAF) in an amount of SDR 16.52 million.

3. The Government of Chad will provide the International Monetary Fund with any information it may request regarding progress with implementation of the economic and financial policies and the measures necessary for achieving the objectives of the program.

4. The government is convinced that the policies and measures described in the attached memorandum will make it possible to achieve the program objectives, but undertakes to take any additional measures which may prove necessary. During the period of the second annual arrangement, Chad will consult as necessary with the Managing Director of the Fund, either at the initiative of the government or whenever the Managing Director requests such consultations. In addition, upon expiry of the second annual arrangement, and during the entire period during which Chad has financial obligations to the Fund associated with loans under this arrangement, Chad will consult

with the Fund periodically on the economic and financial policies of Chad, either at the initiative of the government or whenever the Managing Director requests such consultation.

5. Finally, the Fund will conduct a midterm review under the second annual arrangement. This review, which will be completed by April 30, 1997, will examine the progress made with program implementation over the first six months, determine the most appropriate measures aimed at achieving program objectives, and assess the performance indicators for the remaining period of the arrangement.

Sincerely yours,

/s/

Bichara Chérif Daoussa
Minister of Finance

/s/

Yamtebaye Nadjitangar
Minister of Plan and Cooperation

Attachment: Memorandum on Economic and Financial Policies for 1996/97

Memorandum on Economic and Financial Policies for 1996/97

September 30, 1996

I. Introduction and Recent Developments

1. Since mid-1994, Chad has been resolutely committed to a program of structural reform aimed at correcting internal and external disequilibria and accelerating the pace of economic growth. This strategy received support from the International Monetary Fund in September 1995, in the context of a three-year arrangement under the Enhanced Structural Adjustment Facility covering the period 1995-98. It also benefited from substantial support from the World Bank, as well as donors and other lenders.

2. The determination with which the government implemented these policies and reforms--especially during the first year of the program--has paid off. Economic activity has grown and private sector confidence has been bolstered. Real per capita GDP grew 5.2 percent in 1994-95, inflation was stabilized, the UDEAC tax and customs reform progressed well, and the management of government finances strengthened. Improvements in financial administration and in the coordination between departments of the Ministry of Finance led to considerable progress in the mobilization of tax revenue. The civil service census undertaken at end-1995 set the stage for stricter control of the wage bill. Foreign trade was largely liberalized and foreign exchange reserves increased substantially. The banking sector's liquidity improved markedly and its viability was strengthened. An extensive privatization program was launched, and most prices were liberalized.

3. Economic and financial performance in 1995, described in detail in the government's letter of intent of May 8, 1996, was broadly satisfactory. Most performance criteria and program benchmarks at end-December 1995 were observed. The exceptions were the performance criteria on repayment of domestic and external arrears, which could not be observed because of delays in the disbursement of external financial assistance, and that on the amendment of the labor code, which was not approved by the government until mid-April 1996. The end-June structural benchmarks on tax reform were observed, while the study on SONASUT privatization was delayed. Of the quantitative benchmarks at end-June 1996, only those related to arrears repayments were not met, and the revenue target was missed by a small margin (see paragraphs 5 and 6).

4. The data available for the first half of 1996 indicate that the GDP growth target of 6.0 percent is still within reach, owing, in particular to the recovery expected in the agricultural sector and the industrial sector, and to the vitality of the construction and public works sector engendered

by the public investment program. The results with regard to inflation in the first half of 1996 were less favorable: a sharp increase in food prices pushed inflation for the first half of the year to 6.7 percent, ahead of the original program target of 4.5 percent for the year as a whole.

5. Progress was made in the first half of 1996 in the area of public finances. At end-June 1996, revenue totaled CFAF 30.1 billion, or a monthly average of CFAF 5.0 billion, compared with CFAF 3.8 billion in the second half of 1995. This level of revenue is still about CFAF 800 million below the program target. The difference is explained primarily by the insufficient yield of petroleum taxes, which, while clearly better than in 1995, did not exceed CFAF 1.6 billion (compared with a program target of CFAF 2.0 billion) because of interruptions in the supply of petroleum products. Current expenditure amounted to CFAF 35.6 billion during the same period. The wage bill was estimated at CFAF 15.3 billion, the level projected. In aggregate, other primary current expenditure was in line with the program target. The CFAF 5 billion of assistance received for the military demobilization program was frozen; it will be disbursed over the next few months as the program is implemented.

6. Despite large debt service payments during the first half of 1996 and the rescheduling of a part of its external debt, the government could not clear its external payments arrears by June 30, 1996, thus missing the related benchmark. This was a result of delays in the disbursement of external financial assistance as well as the slower-than-expected pace of negotiations with non-Paris Club creditors. The result of these delays was that exceptional financing fell short of program projections by some CFAF 22 billion.

7. During the first half of 1996, the government made cash payments of CFAF 8.6 billion of external arrears and CFAF 2.8 billion of current maturities. In June 1996, the Paris Club offered to Chad a rescheduling of external debt on Naples terms. The government was also successful in concluding a rescheduling of part of its debt to China. Nonetheless there was a net decumulation of external payments arrears of CFAF 6.9 billion and only CFAF 8.3 billion of internal arrears were cleared, compared with a program objective of CFAF 16.9 billion.

8. Foreign trade developments for the first half of 1996 appear to be not as favorable as expected because of a decline in world cotton prices and the modest 1995/96 cotton harvest. As a result, the current account deficit (excluding official transfers) is projected to increase to 17 percent of GDP, while the overall external deficit will be just under 2 percent of GDP. Chad maintains an exchange system free of restrictions on the making of payments and transfers for current international transactions. The government took the decision, jointly with other BEAC zone countries, to accept the obligations of Article VIII, Sections 2, 3, and 4 of the IMF Articles of Agreement, effective June 1, 1996.

9. At end-June 1996, the year-to-date broad money growth was estimated at 17.1 percent, somewhat above the program projections. The expansion of the

net domestic assets were contained at 2.1 percent of beginning-of-period money allowing for an increase in Chad's contribution to the net foreign assets of the BEAC of CFAF 10.5 billion, or 9.7 percent of beginning-of-period money.

10. The privatization program moved ahead at a good pace during the first half of 1996. The legal framework for privatization was strengthened, expanding the list of companies to be privatized and allowing the authorities to sell small enterprises without undertaking studies. Four enterprises were privatized, one through the sale of shares and the others by private placement, with a total market value of CFAF 435 million. Additionally, ten enterprises were liquidated (yielding CFAF 113 million) and a private management contract was awarded on one other.

II. Medium-Term Strategy - 1996-99

11. Despite encouraging results in the first year of the program, Chad's economy continues to suffer from structural weaknesses that impede economic growth and job creation. To overcome these weaknesses, the government's strategy for 1996-99 will continue to be based on the principles of strengthening government finances, economic liberalization, reducing the role of the public sector, and promoting private sector development. As described in the policy framework paper, this will include implementation of economic and financial policies aimed at: (a) increasing the overall productivity of the economy, (b) diversifying and strengthening the country's production and export base, focusing on recovery in the agricultural sector and the promotion of industrial activities; (c) increasing public saving; (d) encouraging private sector saving; and (e) stimulating private sector development.

12. Strengthening the public finances will be a key element of the government's strategy. Policies will be aimed at achieving current budget surpluses beginning in 1998, which will allow the elimination of government payments arrears and an increase in investment financed directly by the government. Tax policy will be aimed at improving tax yields by strengthening the financial administration and enhancing its management capacity; the objective is to increase revenue to 12 percent of GDP by 1999. Another objective is to streamline government expenditure and increase its efficiency, while placing greater emphasis on the priority sectors of education, health, and infrastructure. This will require improving the procedures for budget preparation and monitoring of budget execution. Civil service reform is another essential component of the fiscal consolidation strategy. Meanwhile public investment expenditure will be concentrated in the key development sectors.

13. The pursuit of these policies on the fiscal front, along with structural reforms spelled out in the policy framework paper, should improve the prospects for economic growth. The objective is to achieve real growth averaging 5 percent annually, and to post trade surpluses that would be large enough to reduce the external current account deficit, excluding grants, to about 12 percent of GDP in 1999. Although two oil export

projects are scheduled to come on stream in the next five years, the final elements of these projects will not be determined until the end of 1996. Thus, the projections used for this financial program do not include the possible net impact of these oil projects on the fiscal and balance of payments positions. These will be incorporated at a later date.

III. The 1996/97 Program

14. The second annual program covers the period July 1996-June 1997. Its objectives are: (a) to attain a real GDP growth rate of 6 percent in 1996 and 5 percent in 1997; (b) to contain average inflation to 10 percent in 1996 and 4 percent in 1997; and (c) to lower the external current account deficit, excluding grants, to 17.1 percent of GDP in 1996 and about 15.8 percent in 1997. To this end, the government will pursue prudent macroeconomic policies, accelerate structural reforms and the privatization program, and ensure that those enterprises remaining in its portfolio are operated on a commercial basis. It will continue to encourage strongly the development of private sector initiatives, particularly those that are export oriented.

15. The government will pursue the rehabilitation of government finances with the aim of attaining a current budget balance in 1997, after a deficit of 2.0 percent of GDP in 1996. It will assign special priority to actions designed to improve the productivity of tax departments and tighten fiscal discipline. As a result, revenue is projected to increase to 10 percent and 10.2 percent of GDP in 1996 and 1997, respectively, and current primary expenditure should stabilize at about 9 percent of GDP. With investment averaging some 12 percent of GDP, the overall deficit, excluding grants, will be reduced to 14 percent of GDP in 1996 and 12.1 percent of GDP in 1997.

16. In absolute terms, revenues are projected to be CFAF 62 billion and CFAF 70.5 billion in 1996 and 1997, respectively. To attain these objectives, significant efforts will be made to improve collections and to combat fraud and tax evasion. The focus will be on two types of actions: (a) correcting weaknesses in the implementation of the turnover tax (TCA), consolidating and expanding the tax base, simplifying taxation, and tightening control over exemptions; and (b) organizational improvements in the tax administration aimed at enhancing productivity.

17. As to tax measures, the government is aware that larger tax receipts will necessarily depend on an increase in indirect taxes, the overall rate of which remains fairly low (less than 4 percent of GDP in 1995). Accordingly, before January 1, 1997, the government plans to take measures designed to improve the yield of the turnover and excise taxes, and eliminate the deficiencies in the enforcement of tax regulations. These measures will consist of: (a) incorporating excise taxes in the TCA base; (b) strictly enforcing the regulations on exemptions to ensure that the TCA and other domestic taxes are not included in the customs exemption scheme; (c) eliminating the reduced rate of the turnover tax; and (d) raising the excise tax on a few luxury items. These corrective measures will follow

(i) the annulment by the Ministry of Finance of the ministerial circular which had granted, with no basis in law, the reduced TCA rate to certain activities and goods; and (ii) the re-establishment of the full-value base for the TCA and excise tax on cigarettes. The government also plans to improve the yield of taxes levied on small enterprises by introducing a single business tax, effective July 1, 1997, which would replace an array of taxes, namely, the business license fee, the business profits tax, and the turnover tax. In addition, the banking activities are to be subject to a special tax on financial activities beginning in 1997. At the same time, the government has decided to step up the control of exemptions by instituting, on or before January 1, 1997, a mechanism for monitoring tax exemptions on government procurement contracts and externally financed projects.

18. As regards improving the efficiency of tax administration, the following measures will be implemented:

a. The Tax Directorate will be reorganized and the administration of the turnover tax will be improved.

(i) A special unit for major taxpayers will be established in September 1996. It will concentrate on the administration of the turnover tax, other taxes withheld at source, and excise taxes. The government will provide the equipment necessary for its proper functioning and establish the supporting staff training programs. A computerization plan will be prepared and carried out, and each taxpayer will be assigned a single statistical identifier to be used jointly by the Treasury and the tax and customs directorates. The role of the satellite unit of the Tax Directorate within the Customs Directorate will be reinforced, delinquent taxpayers will be closely monitored, and systematic follow-up procedures will be put in place early in 1997.

(ii) The procedures for collecting the turnover tax will be made more flexible before January 1, 1997 with the replacement of monthly declarations by quarterly ones for enterprises with a turnover below CFAF 1 billion and the elimination of the annual summary declaration for all enterprises. The period allowed for TCA deductions on inputs for nonexporters will be limited to three months.

b. Regarding petroleum taxes, the government has decided to strengthen the import control activities of the Office of Petroleum Taxation and to ensure that the duty drawback mechanism is applied without exception to all imports of petroleum products, and that all tax due is paid at the border.

c. In 1996/97, the government plans to consolidate all of the Customs Directorate reforms undertaken since June 1994. In this context, it will accelerate computerization of the various offices, particularly with a view to improving the monitoring of exemptions and suspended duty arrangements, and more closely managing valuation records. Customs will also enforce rigorously the recently renegotiated agreements with Chad's military partners, which delineate the scope of the customs exemptions to be granted to them. Customs also aims to define and implement a new mechanism to incorporate some form of budgetary control over exemptions on government procurement contracts and externally financed projects.

19. Based on the above tax package, the government has set the following targets (excluding non-classified revenues) for the various revenue agencies:

- CFAF 29.0 billion in 1996 and CFAF 34 billion in 1997 for the Tax Directorate;

- CFAF 3.5 billion in 1996 and CFAF 4.8 billion in 1997, net of payments to the retirement fund (CNRT) and road fund (CAER), for the Office of Petroleum Taxation; and

- CFAF 15.7 billion in 1996 and CFAF 18.0 billion in 1997 for the Customs Directorate.

20. On the expenditure side, the government's objectives are to: (a) keep current expenditure in line with budgetary revenue, mindful of the need to reduce government arrears and increase the government's contribution to the public investment program; (b) strengthen the priority sectors of education and health; (c) achieve a more balanced expenditure pattern by reducing the shares of the wage bill and military expenditures in total spending; and (d) improve the selection and management of public investment projects to maximize the return on capital.

21. The government is aware that improving expenditure management and increasing the effectiveness of government spending will require streamlining the procedures for the elaboration of the current budget and the public investment program (PIP), as well as improving budget execution and monitoring systems. It is determined to correct the weaknesses in budget preparation, execution, monitoring, and control identified by the World Bank public expenditure review mission of April 1996. To this end, the current and investment expenditures will be integrated into a unified budget effective January 1, 1997, and efforts will be made to continue to improve the quarterly reports on the budget and the semiannual reports on investment program (from both financial and rural standpoints). The Budget and the Foreign Assistance Programming Directorates will be strengthened, coordination between these two agencies improved, and intensive training programs established for the directorates' staff during the program year.

22. The government is determined to reform the civil service. To that end, it has initiated a review, to be completed by end-March 1997, of government wage and recruitment policies, with the aim of slowing the growth of the wage bill and linking grade advancement and promotion to performance. It also plans to carry out audits of key ministries in order to refocus their functions and reassess their staffing and material needs. In the meantime, the results of the civil service census have been used to establish a wage index matrix (<u>matrice indiciaire</u>) and improve the wage bill projections for

1996 and 1997. A single computerized employee file will be introduced by end-1996 for the purposes of payroll and civil service administration.

23. The current expenditure estimate of CFAF 74.4 billion in 1996 includes one-time spending on military demobilization and elections; expenditure will be reduced to CFAF 70.9 billion in 1997. The government has imposed a ceiling on primary current expenditure of CFAF 57.7 billion in 1996 and CFAF 62.6 billion in 1997. Within these amounts, the budget for the priority social sectors has been increased by 20 percent in real terms relative to 1995, while the budget ceiling for other sectors has increased by 18 percent in nominal terms. Nonmilitary wage expenditure is expected to be CFAF 30 billion in 1996 and CFAF 30.5 billion in 1997, reflecting the payroll rationalization and the government's decision to extend the wage freeze to fiscal year 1997. Based on a detailed analysis of the real needs of the recipient government agencies, transfers are projected to increase slightly, owing notably to the resumption of government payments to the retirement fund (CNRT) and social insurance fund (CNPS). The budgetary contribution to investment expenditure has been set at CFAF 2.9 billion in 1996 and CFAF 5 billion in 1997. The investment expenditure of the government will amount to CFAF 74.7 billion in 1996 and CFAF 82.5 billion in 1997.

24. The government will continue to assign special priority to the elimination of domestic arrears. It intends to settle some CFAF 16.7 billion in arrears in 1996 and a further CFAF 20 billion in 1997. Also, the government intends to make regular payment of its electricity and water bills to STEE as they fall due.

25. The government will accelerate work on the inventory of cross-debts between the government and public enterprises and agencies. The government intends to address this issue by: (a) establishing a transparent, multiyear clearing program for taxpaying enterprises once actuarial audits are completed; (b) incorporating the arrears vis-à-vis the Chad National Retirement Fund (CNRT) into the stock of the government's domestic arrears; and (c) reaching understandings with the National Social Insurance Fund (CNPS) on a repayment schedule for outstanding government obligations.

26. In view of the current financial position of the social security system, the government has begun actuarial audits of the CNRT and the CNPS, in order to identify the restructuring measures necessary to ensure their short- and medium-term equilibrium. The results and proposed actions of these audits, scheduled for end-December 1996, will be discussed with the staffs of the World Bank and the Fund during the midterm review of the program. In the interim, the government will continue making regular payments of its contributions to the CNRT. The 1997 budget will allow for full payment of all current government obligations to the CNRT and CNPS, notably the employees withheld contributions.

27. In the context of the military demobilization program financed with the assistance of the World Bank, the government has reduced the number of army personnel by 3,000 and will achieve its goal of 7,000 by end-December 1996,

thereby downsizing the army to 25,000. It plans to submit a multiyear demobilization and retraining program to a donors' round table in the first quarter of 1997.

28. In the monetary area, the BEAC's main objective is to keep demand pressures in check and consolidate foreign exchange reserves at the regional level, with more recourse to indirect monetary management instruments. For Chad, this objective will mean a careful monitoring of credit and increased surveillance of banking institutions. Net credit to the government will not increase during the program period, excluding borrowing related to IMF lending and the drawdown of donor aid received but not yet utilized. At the regional level the government will advocate the liberalization of money market interest rates. Money supply growth is projected at 13.6 percent in 1996 and 11.3 percent in 1997. The net domestic assets of the banking system would increase by 10.8 percent in 1996 and 4.5 percent in 1997, in terms of beginning-of-period money stock. Quarterly ceilings for net domestic assets of the central bank and net credit to the government are indicated in Table 1. Chad's net foreign assets should increase somewhat in 1996-97, reflecting developments both in cotton exports and in external financial assistance. The monetary authorities, in their desire to revitalize the long-term financing of the economy, intend to stimulate competition among banks and encourage time deposits. To strengthen the banking sector the monetary authorities will continue supporting the activities of the regional banking commission (COBAC) by ensuring strict observance of prudential ratios by commercial banks. The government will also expedite privatization of the BTCD and the BDT.

29. The current external account deficit of the balance of payments is expected to remain at approximately 16 percent of GDP in 1996-97, owing to an unfavorable movement in the terms of trade and imports related to the public investment program. The government has received indications that Chad will continue to receive a sizable amount of external assistance in support of its investment program. This financing, in the form of grants and highly concessional loans, will total nearly CFAF 72 billion in 1996 and CFAF 77 billion in 1997. Exceptional assistance requirements, excluding debt relief, are estimated at CFAF 39.3 billion for 1996 and CFAF 36.1 billion for 1997. The authorities have received assurances that these needs will be met by assistance from multilateral institutions and bilateral donors.

30. The elimination of external payments arrears in 1996 will be one of the highest priorities of the fiscal program. To realize this goal, the government is committed to making all necessary payments to ensure the entry into force of the June 14, 1996 Paris Club terms of reference on or before September 30, 1996. In conformity with these terms of reference, the government is committed to negotiating bilateral agreements with concerned Paris Club creditors before December 31, 1996. It will also strive to conclude agreements with non-Paris Club creditors on terms at least as concessional as those accorded by the Paris Club. Arrears to multilateral creditors will also be cleared by the end of 1996. To ensure continued good

relations with donors and to deepen external financial support for Chad, the government is committed not to accumulate any new external payments arrears.

31. During the program period, the government will not impose any restrictions on payments and transfers for current international transactions, introduce multiple currency practices, conclude any bilateral payments agreements contrary to the provisions of Article VIII of the Articles of Agreement of the Fund; nor impose imports restrictions for balance of payments reasons. Also, requests for foreign exchange for current transfers will be granted liberally and rapidly by the government and the central bank using transparent procedures. The government will continue to work toward the prompt conclusion of the agreement on the harmonization of exchange regulations in the BEAC zone, assuring the provisions are consistent with Article VIII of the Fund's Articles of Agreement.

32. The thrust of the government's structural reform strategy is described in detail in the policy framework paper.

a. In the cotton sector the government has undertaken studies on the development of human resources at COTONTCHAD, improvements in the company's organizational structure, and on methods of government disengagement from the company. Preliminary reports from these studies will be completed by end-December 1996. An action plan based on these studies will be proposed by end-April 1997, with the first steps being taken by end-June 1997. A first draft of the study proposing a producer pricing mechanism for cotton has just been completed and is being reviewed by the interested parties. A final decision on the modalities of the producer price mechanism, which will take into account the interests of the producers, the state and COTONTCHAD, will be taken by end-1996. In the interim, the government announced a producer price of 170 CFAF/kg.

b. In the sugar sector, the government will remove the monopoly of SONASUT beginning January 1, 1997. The study on government divestiture from SONASUT, originally called for in the first year of the program, will be completed by end-March 1997. This will permit a decision on the company's future to be taken by the government by end-June 1997. In response to a request by SONASUT to alleviate the impact of the removal of the import monopoly, the government has agreed to tax sugar imports on the basis of a reference price for a one-year period. The government will also take forceful action against smuggling of sugar.

c. The government is seeking to restructure and privatize the electricity and water company, STEE. A study to that end will be ready by end-1996 and the process of disengagement will begin by March 1997. In the interim, the company has instituted a program to raise its bill collection rate to 90 percent by replacing and installing meters, improving billing, and fighting fraud. To reduce the amount of fraud resulting from the tax exoneration of petroleum products for the STEE, the government will consider collecting duties on those petrol imports and rebating the duties through a direct subsidy in the budget. The government is in the process of reconciling its cross-debts with STEE.

d. With regard to privatization, the government will continue the privatization procedures already in progress. Public offerings of five firms will be completed in 1996, as will two liquidations by March 1997. It also plans to transform the post and telecommunication companies into two new entities--one public enterprise in charge of postal services and one company, to be privatized, responsible for telecommunications.

e. In the area of business law, the government plans to promulgate legislation in accordance with the general framework of the harmonization of business law in Africa (OHADA). It will strengthen the court system by establishing a specialized business court, and, in consultation with its BEAC zone partners, will revise the investment code with a view to simplifying the regulations and ensuring their regional harmonization.

33. Softening the impact of the adjustment policy on the most vulnerable segments of the population will continue to be a government priority. To promote the social objectives of the program, the government will channel donor assistance to the priority sectors of education and training, health, and economic infrastructure. It will also ensure the reinforcement of labor-intensive public works included in the PADS and ATETIP projects, involving the construction of waste water drainage systems, improved urban lighting and garbage collection, and the drilling of additional wells for drinking water in rural areas.

34. The 1996/97 program will be monitored by means of quarterly quantitative and structural performance criteria and benchmarks, and reference indicators. The quantitative targets for end-September 1996, end-March 1997, and end-June 1997 are benchmarks for program monitoring; those for end-December 1996 will constitute performance criteria. The quantitative benchmarks and performance criteria include: (a) a ceiling on the net domestic assets of the central bank; (b) a ceiling on net bank credit to the government; (c) a minimum reduction of the stock of domestic payments arrears; (d) clearance of existing external payments arrears; (e) the nonaccumulation of new external payments arrears; (f) nonrecourse by the government to nonconcessional external loans or loan guarantees with a maturity of 1-12 years, and nonrecourse to short-term external loans, except for normal import financing and financing related for the petroleum exploitation projects of Doba and Sedigui; (g) a ceiling on the nonmilitary wage bill; and (h) a floor on the current fiscal balance. The net domestic assets of the banking system and the amount of exceptional external financial assistance will constitute reference indicators for the program. Structural performance criteria and benchmarks are listed in Table 1.

35. The Government of Chad understands that the Fund will carry out a midterm review of the program supported by the second annual arrangement, not later than April 30, 1997. The government believes that the measures adopted are sufficient to ensure attainment of the program objectives, but is prepared to consult with Fund with a view to adopting any necessary corrective measures, in accordance with the Fund's policies on such consultations.

Table 1. Chad: Quantitative and Structural Performance Criteria and Benchmarks for the Second Annual Arrangement Under the Enhanced Structural Adjustment Facility, July 1, 1996-June 30, 1997

(In billions of CFA francs)

	1996 End-June (Est. level)	Cumulative changes 1996 Sept. 30 Benchmarks	1996 Dec. 31 Perf. crit.	1997 March 31 Benchmarks	1997 June 30 Benchmarks
A. Quantitative performance criteria and benchmarks 1/					
Net domestic assets of the Central Bank (BEAC) 2/	47.6	0.9	6.0	9.3	9.2
Net credit of the banking system to the Government 2/ 3/	45.8	4.4	12.5	12.3	15.7
Domestic payments arrears 4/	43.3	-1.1	-8.3	-16.3	-22.0
External payments arrears 4/	14.6	-11.7	-14.6	--	--
Of which: in cash		(-10.0)	(-11.3)	(--)	(--)
External loans contracted or guaranteed by the Government on nonconcessional terms: 5/					
- less than 1 year's maturity 6/	--	--	--	--	--
- all medium- and long-term loans	--	--	--	--	--
Current balance 7/	-5.6	-1.3	-6.8	-10.5	-6.3
Government wage bill 8/	15.3	7.0	13.9	21.5	29.1
Monitored variable					
Net domestic assets of the banking system	47.9	0.7	9.3	21.3	15.1
Memorandum item:					
Anticipated external program financing 9/	...	10.0	18.0	38.7	42.5

B. Structural performance criteria	
1. Completion of a provisional report on the disengagement of the Government from COTONTCHAD	By end-December 1996
2. Completion of a provisional report on the disengagement of the Government from STEE	By end-December 1996
C. Structural benchmarks	
1. Establishment of the large taxpayer unit (National Sub-Directorate for large companies).	By end-September 1996
2. Elimination of the reduced rate of the turnover tax.	By end-December 1996
3. Completion of a study on different options for the disengagement of the Government from the SONASUT.	By end-March 1997
4. Action plan on the disengagement of the Government from COTONTCHAD.	By end-April 1997
5. Implementation of the single business tax (*impôt synthétique*).	By end-June 1997
6. Adoption of the revised statutes of civil service.	By end-June 1997
7. Regular payments by the Government to CNRT of civil servants' contributions withheld at source and regular payments by the Government of its contribution to CNRT and CNPS as employer.	Beginning January 1, 1997

1/ Principal adjusters in cases of shortfalls of external assistance are as follows: (a) shortfalls before end-1996 would lead to a postponement in the elimination of domestic payments arrears up to the amount projected in 1996; (b) in case of larger shortfalls, external payments arrears would be postponed. In the case of a level of domestic tax revenue or external financing higher than programmed, one half of the excess would be used to increase the settlement of payments arrears and the other half to reduce net credit of the banking system to the Government.
2/ May be adjusted in line with the contingency provision in Footnote 1 above.
3/ The ceiling will be adjusted upward (downward) to the extent that the amount actually disbursed under the special bank account for military demobilization is higher (lower) than the amount envisaged by the program (i.e., CFAF 2 billion as of end-September 1996, and CFAF 5 billion as of end-December 1996).
4/ No new accumulation of arrears is allowed, with the exception of external debt service payments for which a rescheduling is foreseen. The reduction in domestic and external payments arrears may be affected by the availability of external financing (see Footnote 1 above).
5/ Any loan with a grant element of less than 35 percent. The discount rates used in the calculation of concessionality are six-month averages of the OECD CIRRS (for loans with maturities up to 15 years) and ten-year averages of the CIRRS (for loans with maturities exceeding 15 years) augmented by a margin related to the repayment period.
6/ Excluding (a) normal import-related credits, on disbursement basis; and (b) the Government's share of the financing of oil projects in Doba and Sedigui (amount still under discussion).
7/ Commitment basis.
8/ Non-military wages on a commitment basis.
9/ Including non-project grants and loans, excluding the Fund.

Chad - Relations with the Fund
(As of August 31, 1996)

I. Membership Status: Joined July 10, 1963; Article VIII

II. General Resources Account:

	SDR million	Percent of quota
Quota	41.30	100.0
Fund holdings of currency	51.35	124.3
Reserve position in the Fund	0.28	0.7

III. SDR Department:

	SDR million	Percent of allocation
Net cumulative allocation	9.41	100.0
Holdings	0.02	0.2

IV. Outstanding Purchases and Loans:

	SDR million	Percent of quota
Stand-by arrangements	10.33	25.0
SAF arrangements	12.24	29.6
ESAF arrangements	16.52	40.0

V. Financial Arrangements:

Type	Approval Date	Expiration Date	Amount Approved (SDR million)	Amount Drawn (SDR million)
ESAF	9/01/95	8/31/98	49.56	16.52
Stand-by	3/23/94	3/22/95	16.52	10.33
SAF	10/30/87	10/29/90	21.42	21.42

VI. Projected Obligations to the Fund: (SDR million; based on existing use of resources and present holdings of SDRs):

	Overdue	Forthcoming				
	8/31/96	1996	1997	1998	1999	2000
Principal	--	2.1	8.2	8.2	3.4	0.6
Charges/interest	--	.3	0.9	0.7	0.5	0.5
Total	--	2.4	9.1	8.9	3.9	1.1

Chad - Relations with the Fund (concluded)

VII. Exchange Rate Arrangement

Chad is a member of the Central Bank of the Central African States (BEAC). The exchange system, common to all members of the BEAC, has been free of restrictions on payments and transfers for current international transactions. Repurchase of the CFA franc bank notes exported outside the BEAC was suspended on August 2, 1993. The BEAC common currency is the CFA franc, which is pegged to the French franc. Effective January 12, 1994, the CFA franc was devalued by 50 percent in foreign currency terms, and the exchange rate was adjusted from F 1 = CFAF 50 to F 1 = CFAF 100. On June 28, 1996, the rate of the CFA franc, in terms of the SDR, was CFAF 743.68 = SDR 1.

VIII. Article IV Consultations

(a) Chad is on the standard 12-month consultation cycle.

(b) The last discussions for the 1996 Article IV consultation were held in N'Djaména during the period February 21-March 6, 1996. The staff report (EBS/96/70) was discussed by the Executive Board on May 22, 1996 (EBM/96/49). A background paper (SM/96/111) was also circulated to the Board.

IX. Technical Assistance

1988: FAD mission on the preparation of a tax reform program.
1989: FAD mission on the preparation of a tax reform program.
1990: FAD mission for reviewing implementation of the tax reform program.
1991: FAD mission for reviewing implementation of the tax reform program.
1994: FAD mission for assessing weaknesses in customs administration and recruitment of an expert responsible for strengthening customs administration.
October 1994-October 1995: FAD Resident expert to strengthen customs administration.
1996: FAD mission for reviewing the tax reform program (introduction of the turnover tax, strengthening of the tax administration).

X. Resident Representative

None.

Chad - Relations with the World Bank Group

At the beginning of the Bank's support of structural adjustment in Chad, a Financial Rehabilitation Credit (FRC) was approved in July 1988. The objectives of the program were to re-establish the financial profitability of the cotton sector and to strengthen policy reforms in public finances. However, owing to the deteriorating fiscal performance, the FRC was suspended in July 1991. The residual balance was canceled in December 1992 and the credit was closed.

The Bank's medium-term goal is to work with Chad toward an approach of managing development in which external assistance is pooled in support of an integrated national program which is adequately poverty-focused. The foundation for this is being laid in an interim strategy for 1996-98, which seeks to help Chad restore minimum critical public sector capacity; focus public expenditures on poverty reduction; and promote sustainable use of natural resources.

The Bank's strategy for Chad supports investments in the productive sectors (agriculture, livestock, and energy) as well as transport infrastructure and the social sectors (health, education). In 1994, particular emphasis has been given to the support of the devaluation with a US$20 million Economic Recovery Credit (ERC) and the development of human resources and the strengthening of economic management (GEF). A structural adjustment credit (SAC) of US$30 million was approved in early 1996 in support of the Chadian structural adjustment program.

A. Statement of IDA Credits (As of August 31, 1996)

(In millions of U.S. dollars)

Credit No.	Fiscal Year	Purpose	IDA	Undisbursed
Cr.19120	1988	Livestock	18.60	4.33
Cr.21560	1990	Social Development Program	13.40	0.04
Cr.21840	1990	Engineering	11.00	5.70
Cr.25010	1993	Basic Education	19.30	16.85
Cr.25200	1993	Transport Sector II	37.00	5.04
Cr.26140	1994	Public Works and Capacity Building (ATETIP)	17.4	13.4
Cr.26260	1994	Health and Safe Motherhood	18.5	12.11

Chad - Relations with the World Bank Group (concluded)

Credit No.	Fiscal Year	Purpose	IDA	Undisbursed
Cr.21561	1994	Social Development Program	9.80	5.20
Cr.25201	1994	Transport Sector II	12.70	12.33
Cr.26850	1995	Agricultural Services	24.53	22.98
Cr.26920	1995	Population and Aids	20.40	18.16
Cr.28180	1996	Capacity Building	9.50	8.32
Cr.28170	1996	SAC I	30.00	0.0

Total number of credits = 13

Total credit held from the Bank and IDA	565.32
Of which: repaid	9.17
Total now held by the Bank and IDA	550.77

B. Statement of IFC Investments

Chad became a member of IFC in February 1996.

C. Activities Under Preparation

In 1996, the World Bank is expanding its technical assistance program (Capacity Building Project for Economic Management). A second structural adjustment credit (SAC) is scheduled once the first SAC is satisfactorily implemented and the conditions for the second one are met. The SAC operations accompany the ESAF-supported program of the Fund. A public expenditure review is to be concluded by end-1996. Finally, support to the Chad/Cameroon Petroleum Pipeline Project is under consideration.